



KOSPI Market Business Regulation

Formulated on January 21, 2005

Amended on:

May 13, 2005; July 22, 2005; November 25, 2005

July 7, 2006; September 8, 2006

January 19, 2007; April 27, 2007; May 11, 2007; July 6, 2007; July 20, 2007; December 21, 2007

September 30, 2008

January 28, 2009; March 4, 2009; April 15, 2009; July 16, 2009; December 29, 2009

April 21, 2010; July 21, 2010; December 1, 2010

January 26, 2011; March 2, 2011; July 6, 2011; November 4, 2011; December 28, 2011

March 7, 2012; April 18, 2012; September 19, 2012; October 17, 2012

February 22, 2013; December 11, 2013

February 19, 2014; June 18, 2014; August 27, 2014; November 26, 2014

February 11, 2015; April 29, 2015; November 4, 2015

June 8, 2016; October 5, 2016; December 28, 2016

February 8, 2017

January 31, 2018

December 5, 2018

April 3, 2019; July 10, 2019; August 28, 2019; November 20, 2019

April 29, 2020; July 22, 2020

March 8, 2021

December 7, 2022

July 19, 2023

February 5, 2025

January 28, 2026; April 15, 2026

This English version does not warrant or assume any liability or responsibility for the accuracy, completeness or usefulness of any information contained herein. Only Korean version shall be deemed authentic.

TABLE OF CONTENTS

CHAPTER I. GENERAL PROVISIONS.....	1
§1. Purpose.....	1
§2. Definitions.....	1
§3. Fiction in Application	5
CHAPTER II. MARKET OPERATION.....	6
Section 1. Classification and Opening/Closing of the Market.....	6
§4. Market Classification and Trading Hours.....	6
§5. Temporary Closing of the Market.....	6
§6. Temporary Suspension of Market Sessions and Reopening Thereafter	7
Section 2. Types of Trading and Intermediation of Trade Execution.....	7
§7. Types of Trades.....	7
§8. Intermediation of Trades Execution.....	8
§8-2. Guidelines on Connection, etc. to Member System	8
Section 3. Quotations	8
§9. Methods and Types of Quotations	8
§10. Quotation Receiving Hours.....	9
§11. Quotation Details	9
§11-2. Member's Obligation for Prior Inspection of Quotations, etc.....	9
§12. Validity of Quotations, etc.	9
§13. Cancellation and Correction of Quotations.....	10
§13-2. Cancellation of Quotations upon Disconnection	10
§14. Logging of Quotations	10
CHAPTER III. TRADING OF STOCK CERTIFICATES, ETC.....	11
Section 1. Common Provisions.....	11
§15. Scope of Application.....	11
Section 2. Management of Quotations and Restriction on Quotation Price	11
§16. Management of Quotations for Program Trading.....	11
§17. Restrictions on Short Sale Quotations	12
§18. Restrictions on Prices of Quotations for Covered Short Sale	14
§18-2. Follow-up Management of Short Sale Quotations	16
§19. [Deleted on November 25, 2005].....	18
§20. Limits on Quotation Prices	18
Section 2-2. Liquidity Providing Quotations	18
§20-2. Liquidity Providing Members	19
§20-3. Agreement for Liquidity Provision.....	21
§20-4. Obligation to Submit Liquidity Providing Quotations	21
§20-5. Method of Submitting Liquidity Providing Quotation	22
§20-6. Assessment of Liquidity Providing Members	23
§20-7. Support for Liquidity Providing Member.....	23
§20-8. Measures According to the Result of Performance Assessment of Liquidity Providing Member	24
Section 2-3. Market Makers.....	24

§20-9. Market Makers.....	24
§20-10. Obligation to Maintain Market Making Quotations	25
§20-11. Assessment of Market Makers, etc.....	25
Section 3. Quotation Unit and Trading Unit.....	25
§21. Quotation Unit and Trading Unit	25
Section 4. Execution of Trade.....	25
§22. Auction Principles.....	25
§23. Call Auction	26
§24. Continuous Auction	28
§25. Trading Halt, etc. in Stock Market, etc.	29
§26. Suspension of Trading of Individual Issues.....	30
§26-2. Change of Trade Execution Methods, etc. by Issue	30
§27. Measures in the Case of Computer System Failure or Excessive Influx of Quotations ...	31
§28. Correction of Transaction Errors	31
§28-2. Relief of Large-scale Transaction Errors.....	31
Section 5. Special Cases concerning Trade Execution	32
§29. Single Member Auction.....	32
§30. [Deleted on July 7, 2006].....	32
§30-2. Regular Session Auction-based Block Trading.....	32
§31. Regular Session Block Trading	33
§32. Regular Session Basket Trading	33
§33. Off-hours Trading	33
§34. Off-hours Closing Price Trading	34
§34-2. Off-hours Periodic Call Auction.....	34
§34-3. Off-hours Auction-based Block Trading.....	35
§35. Off-hours Block Trading.....	35
§36. Off-hours Basket Trading	36
§37. Method of Determining First Trading Price of Initially Listed Issues.....	36
§38. Method of Trade Execution for Issues Scheduled to Be Delisted	36
§38-2. Trade Execution Methods, etc. of Temporary Overheated Issues, etc.	37
§38-3. Method of Trade Execution of Low-Liquidity Issues, etc.....	37
§39. Trading Methods of Treasury Stocks of Stock-listed Corporations	37
§40. Special Cases concerning Trading Methods of Treasury Stocks of Stock-listed Corporations.....	39
§41. Trading Methods of Treasury Stocks of Stock-listed Corporations under Trust Contract and Special Cases Thereof.....	39
CHAPTER IV. TRADING OF DEBT SECURITIES	40
Section 1. Common Provisions.....	40
§42. Applicability	40
§43. Trading of Listed Debt Securities in the Market of the Exchange	40
§44. Designation and Operation of LPB Dealers.....	40
Section 1-2. Management of Quotations and Price Change Limits.....	40
§44-2. Restrictions on Quotations for Short Sale	40
§44-3. Restrictions on Prices of Quotations for Covered Short Sale.....	41
Section 2. Quotation and Trading Units	42
§45. Quotation Unit and Trading Unit	42
Section 3. Execution of Trades	42

§46. Principles for Trading of Debt Securities	42
§47. Call Auction	42
§48. Continuous Auction	43
§49. Suspension of Trading of Individual Issues	43
§50. Measures in the Case of Computer System Failure or Quotation Overflow	44
§51. Correction of Transaction Errors	44
Section 4. Special Cases concerning Trade Execution	44
§52. Reporting of Self-account Transaction of LPBs by Members	44
§53. Trading of LPBs at Market Closing	44
§53-2. Negotiated Trade	45
§54. Reported Trading of Debt Securities	45
Section 5. Trading in KRX KTB	45
§55. Definitions	46
§56. Classification of Quotations	46
§57. Quotation Receiving Hours and Methods of Quotations	47
§58. Suspension of Quotation Validity	47
§59. Execution of Trades, etc.	47
§59-2. When-Issued Trading	48
Section 6. Trading of Bonds Repurchase Agreements	48
§60. Definitions	48
§61. Eligible Bonds	49
§62. Repo Terms and Repurchase Dates	49
§63. Quotation Quantity Units, etc.	49
§64. Execution of Trades	50
§65. Calculation of Purchase Prices and Repurchase Prices	50
§65-2. Clearing and Settlement of Repo Trades	50
§66. [Deleted on March 4, 2025]	51
§67. [Deleted on March 4, 2025]	51
§68. [Deleted on March 4, 2025]	51
§69. [Deleted on March 4, 2025]	51
§70. Termination of Repo Trade	51
§71. Submission of the Agreement for Participation in Repo Trading, etc.	52
Section 7. Bond Market Making Member	53
§71-2. Definitions	53
§71-3. Application for Bond Market Making Membership and Designation of Bond Market Making Members	53
§71-4. Submission of Market Making Quotation	54
§71-5. Evaluation of Bond Market Making Members and Payment to Such Members	54
§71-6. [Deleted on February 11, 2015]	54
CHAPTER V. [Deleted on March 4, 2025]	55
Section 1. [Deleted on March 4, 2025]	55
§72. [Deleted on March 4, 2025]	55
Section 2. [Deleted on March 4, 2025]	55
§72-2. [Deleted on March 4, 2025]	55
§72-3. [Deleted on March 4, 2025]	55
§72-4. [Deleted on March 4, 2025]	55
§72-5. [Deleted on March 4, 2025]	55

§72-6. [Deleted on March 4, 2025].....	55
§72-7. [Deleted on March 4, 2025].....	55
§72-8. [Deleted on March 4, 2025].....	55
§72-9. [Deleted on March 4, 2025].....	56
Section 3. [Deleted on March 4, 2025].....	56
§73. [Deleted on March 4, 2025]	56
§73-2. [Deleted on March 4, 2025].....	56
§74. [Deleted on March 4, 2025]	56
§74-2. [Deleted on March 4, 2025].....	56
§75. [Deleted on March 4, 2025]	56
§75-2. [Deleted on March 4, 2025].....	56
§75-3. [Deleted on March 4, 2025].....	56
§75-4. [Deleted on March 4, 2025].....	56
§75-5. [Deleted on March 4, 2025].....	57
§75-6. [Deleted on March 4, 2025].....	57
§75-7. [Deleted on March 4, 2025].....	57
§75-8. [Deleted on March 4, 2025].....	57
§75-9. [Deleted on March 4, 2025].....	57
§75-10. [Deleted on March 4, 2025].....	57
§75-11. [Deleted on March 4, 2025].....	57
§75-12. [Deleted on March 4, 2025].....	57
§75-13. [Deleted on March 4, 2025].....	57
§76. [Deleted on March 4, 2025]	57
§76-2. [Deleted on March 4, 2025].....	58
§76-3.[Deleted on December 28, 2011].....	58
CHAPTER VI. RECEIVING TRADE ENTRUSTMENT.....	59
Section 1. Methods and Conditions of Receiving Trade Entrustment.....	59
§77. Opening of Accounts	59
§77-2. Publication and Explanation of Order Placing Method, etc.	59
§78. Matters to be stated in Standard Contracts	60
§79. Opening of Accounts for Trading of Treasury Stocks of Stock-listed Corporations, etc.	61
§80. Opening of Accounts for Trading of Treasury Stocks of Stock-listed Corporations under Trust Contract, etc.....	61
§81. Details of Entrustment	61
§82. Methods of Receiving Trade Entrustment	62
§83. Obligation to act in Good Faith When receiving Entrustment of Orders	62
§84. Rejection of Order Entrustment, etc.	63
§85. Prohibition of Use of Order Information, etc.....	63
§86. Restrictions on Serving as Agent	63
Section 2. Good Faith Deposit	64
§87. Good Faith Deposit	64
§87-2. Basic Deposits	64
§88. Types, etc. of Substitute Securities	65
§89. Special Cases concerning Collection of Good Faith Deposits.....	66
§90. Refund of Good Faith Deposit, etc.	68
Section 3. Processing of Orders	68
§91. Method of Processing of Customer Orders.....	68
§92. Correction of Transaction Errors	68

§93. Maintenance of Records of Error Corrected	68
§94. Maintenance of Records of Trading Details, etc.	68
§95. Sales Agent for LPBs, etc.	68
Section 4. Settlement between Members and Customers	69
§96. Settlement between Members and Customers	69
§97. Delivery of Registered Subscription Certificates, etc.	70
§98. Handling in Case of Deferred Settlement and Delivery of Securities Delivery Bills.....	70
§99. Measures to Be Taken in Case of Settlement Failure by Customers	70
Section 5. Brokerage Commission.....	70
§100. Collection of Brokerage Commission.....	70
CHAPTER VII. MARKET MANAGEMENT	72
§101. Publication of Market Prices, etc.	72
§102. Management of Market Data and Information	72
§103. Matters to be notified to Members	72
§104. Matters to be reported by Members, etc.	73
§104-2. Management of Algorithmic Trades.....	73
§104-3. Registration of Algorithmic Traders, etc.	73
§104-4. Member's Obligation to Manage Algorithmic Trading, etc.....	74
§105. Action Dates of Ex-dividends, etc.	75
§106. Continual Monitoring of Market Conditions, etc.	75
§106-2. Designation and Release from Designation as Temporary Overheated Issue.....	75
§106-3. Designation and Release from Designation as Investment Precaution Bond Issue	75
§106-4. Designation and Release from Designation as Investment Precaution Issue	76
§107. Trading Suspension of Investment Risk Issues, etc.	76
§108. Deposits Prior to Placing Quotations	76
§109. Payment before Settlement	77
CHAPTER VIII. SUPPLEMENTARY PROVISIONS.....	78
§110. Notification of Trade Details	78
§111. Maintenance Period of Records Relating to Trade	78
§112. Auction of Securities.....	78
§112-2. Public Opinion Gathering	79
§113. Enforcement Rules.....	79
ADDENDA.....	80

CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation is to stipulate the matters necessary for the trading of securities in the KOSPI Market (hereinafter referred to as “the Market”) that the Korea Exchange (hereinafter referred to as “the Exchange”) has established under Article 393 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”). (Amended on January 28, 2009)

§2. Definitions

(1) The term “member” in this Regulation means a person who can participate in all or part of securities trading in the market among members classified under each subparagraph of [§3(1)] of the Membership Regulation. (Amended on July 19, 2023)

(2) The term “clearing member” in this Regulation means, from among the clearing members under [§3(2)1] of the Membership Regulation, any member who is authorized to clear the securities trades carried out in its name or the securities trades, the settlement of which has been entrusted to the member by non-clearing members. (Amended on January 28, 2009)

(3) The term “non-clearing member” in this Regulation means, from among the non-clearing members under [§3(2)2] of the Membership Regulation, any member who entrusts the settlement of the securities trades carried out in its name to clearing members. (Amended on January 28, 2009)

(4) The term "quotation" in this Regulation refers to an act of a member that expresses its intention to buy or sell for trading securities in the Market, and shall be classified into each of the following types: (Amended on January 28, 2009; July 21, 2010; December 1, 2010; July 6, 2011; February 5, 2025)

1. Limit quotation: A quotation specifying the issue of a listed security (hereinafter referred to as "issue"), the quantity to be traded and the price at which the trade be executed (in the case of foreign currency denominated debt securities, the points shall be deemed the prices, and in the case of the repurchase agreements mentioned in Section 6 of Chapter IV, the repurchase rates shall be deemed the prices; the same hereinafter);

2. Market quotation: A quotation specifying the issue and quantity, but not the price, intending to trade at a price that is deemed in [§23(3)] and [§24(2)], respectively;

3. Limit-to-market-on-close quotation: A limit quotation with a condition that it will be converted into a market quotation at the time when the price at the time of market closing is determined by the call auction pursuant to the provisions of [§23(1)4];

4. Immediately executable limit quotation: A quotation specifying the issue and quantity, but intending to trade by deeming that the price is specified at a price set by the Enforcement Rules of this Regulation (hereinafter referred to as the “Enforcement Rules”),

on the basis of bid prices in the case of an offer quotation and on the basis of offer prices in the case of a bid quotation;

5. Best limit quotation: A quotation specifying the issue and quantity, but intending to trade by deeming that the price is specified at a price set by the Enforcement Rules, on the basis of other bid prices in the case of a bid quotation and on the basis of other offer prices in the case of an offer quotation;

6. Auction-based block trade quotation: A quotation specifying the issue and quantity, but intending to trade at a price under [§30-2(1)] or [§34-3(1)].

7. Mid-price quotation: A quotation specifying the issue and quantity, but intending to trade by deeming that the price is specified at a price set by the Enforcement Rules, on the basis of prices of the bid and offer quotations; and [February 5, 2025]

8. Stop-limit quotation: A quotation specifying the issue, quantity and price, but intending to trade when the stop price (referring to the conditional price for making the limit quotation effective) satisfies the conditions stipulated in the Enforcement Rules. [February 5, 2025]

(5) The term "order" means an act of a customer that expresses the intention to buy or sell for the trading of securities, and shall be classified into each of the followings: (Amended on May 13, 2005; January 28, 2009; July 21, 2010; December 1, 2010; July 6, 2011; July 10, 2019; February 5, 2025)

1. Limit order: An order specifying the issue, quantity, and the price;

2. Market order: An order specifying the issue and quantity, not the price, thus intending to trade at a price deemed in [§23(3)] and [§24(2)], respectively;

3. Limit-to-market-on-close order: A limit order with a condition that it will be converted into a market order at the time when the price at the time of market closing is determined by the call auction pursuant to the provisions of [§23(1)4];

4. Immediately executable limit order: An order specifying the issue and quantity, but intending to trade at a price specified in paragraph (4)4;

5. Best limit order: An order specifying the issue and quantity, but intending to trade at a price specified in paragraph (4)5;

6. Target price order: An order specifying the issue and quantity, but specifying the condition to execute the trade at a specific price level such as the trading volume weighted average price under [§34-3(1)1];

7. Auction-based block trade order: An order specifying the issue and quantity, but intending to trade at a price under [§30-2(1)] or [§34-3(1)].

8. Mid-price order: An order specifying the issue and quantity, but intending to trade by deeming that the price is specified at a price set in paragraph (4)7; and [February 5, 2025]

9. Stop-limit order: An order specifying the issue, quantity and price, but intending to trade when the stop price satisfies the conditions. [February 5, 2025]

(6) The term "simultaneous quotation" in this Regulation means the quotations that are treated identically, irrespective of the sequence of the time they were received.

(7) The term "opening price" in this Regulation means the first price established after the opening time of the regular session (hereinafter referred to as the "market opening").

(8) The term "closing price" in this Regulation means the last price (including special quotations) establish before the time of closing of the regular session (hereinafter referred to the "market closing").

(9) The term "special quotations" in this Regulation means, in the case of issues that are not executed until the time of market closing, if there are offer quotations (excluding an offer quotation submitted as a mid-price quotation; the same hereinafter in this paragraph) with the prices that are lower than the base price stipulated in [§20(1)], the lowest price of such offer quotation or if there are offer quotations (excluding a bid quotation submitted as a mid-price quotation and all bid quotations submitted to different classes of stocks for which the price difference from the price of a common stock falls under the criteria specified in the Enforcement Rules; the same hereinafter in this paragraph) with the prices that are higher than the base price, the highest price of such bid quotation. In such cases, the market quotation shall use the prices determined in accordance with [§23(3)] and [§24(2)]. (Amended on December 29, 2009; April 18, 2012; February 5, 2025)

(10) The term "customer account transaction" in this Regulation refers to buying or selling of securities that the member conducts after receiving a trade entrustment from a person other than the member concerned. (Amended on January 28, 2009; March 8, 2021)

(11) The term "self-account transaction" refers to buying or selling of securities that the member conducts in its name using its own account. (Amended on January 28, 2009; March 8, 2021)

(12) The term "depository receipts (DRs) of foreign stocks" in this Regulation means the depository receipts mentioned in [§2(1)4] of the KOSPI Market Listing Regulation (hereinafter referred to as "the Listing Regulation"). (Amended on January 28, 2009; July 6, 2011; February 22, 2013)

(13) The term "collective investment securities of Exchange-Traded Funds (ETFs) (including the collective investment securities of foreign ETFs: the same hereinafter)" in this Regulation means the stocks of ETF investment company or beneficiary certificates of ETF investment trust under Article 234(1) of the Act. (Amended on July 16, 2009)

(14) The term "equity-linked warrants (ELWs)" in this Regulation means the derivatives linked securities under Article 125(2)6 of the Enforcement Decree of the Act. (Amended on January 28, 2009)

(15) The term "exchange traded notes (ETNs)" in this Regulation means the securities

pursuant to [§138(3)] of the Listing Regulation. [January 28, 2009] (Amended on July 6, 2011; February 22, 2013, August 27, 2014)

(16) The term "equity-related bonds" in this Regulation means each of the following securities: (Amended on January 28, 2009; December 1, 2010; November 4, 2015)

1. Convertible bonds;
2. Bonds with warrant;
3. Exchangeable bonds (limited to those to be swapped with stocks);
4. Participating bonds; and
5. Contingent convertible bonds (from among the corporate bonds under Article 165(11)1 of the Act, those with terms to convert into stocks).

(17) The term "foreign currency denominated debt securities" in this Regulation means the debt securities issued in foreign currency denominations. (Amended on January 28, 2009)

(18) The term "Exchange computer system" in this Regulation refers to the computer systems operated by the Exchange for the business of intermediating trade executions.

(19) The term "member computer system" in this Regulation refers to the computer systems transmitting quotations to the Exchange's computer system from the head office, branch offices, and other business locations of a member.

(20) The term "KOSPI" in this Regulation means the Korea Composite Stock Price Index calculated by the Exchange, based on the total aggregate market value of the stocks listed on the Market, with the base date of January 4, 1980. [December 5, 2018]

(21) The term "program trading" in this Regulation means a trade falling under any of the following subparagraphs: [December 5, 2018]

1. Index arbitrage trades: Any trade that is carried out in a form set by the Enforcement Rules by linking a basket of constituent stocks of an index specified in the Enforcement Rules, from among the indices underlying stock price futures or stock price options specified in the Derivatives Market Business Regulation, and a futures contract or options contract on the same index, in order to gain profits by exploiting the differences in the price between the basket of constituent stocks of the index and the futures contract or options contract; or
2. Non-arbitrage trades: Any trade in which an identical person who is within the scope set by the Enforcement Rules buys or sells constituent stocks of KOSPI at once in excess of a specific number set forth in the Enforcement Rules.

(22) The term "algorithmic trading" in this Regulation refers to the trading of securities (excluding securities specified in the Enforcement Rules) in which the judgement of investment, the generation and submission of quotations, etc. are conducted by an automated system that follows certain principles without human intervention. [December 7, 2022]

(23) The term "high-speed algorithmic trading" in this Regulation refers to algorithmic trading conducted by the customer in a manner that meets all of the following requirements

or algorithmic trading conducted by members as proprietary trading. [December 7, 2022]

1. To use a dedicated order system owned by or directly controlled by the customer (referring to an order system with functions such as investment judgment, generation and submission of orders, etc.; hereinafter the same shall apply in this paragraph); and
2. The order system noted in subparagraph 1 is located within the member computer center (referring to the member computer center noted in the “Guidelines on Connection, etc. to Member System” stipulated by the Exchange pursuant to [§8-2(1)]; the same hereinafter) or in the building where the member computer center is located (hereinafter referred to as the “member computer center, etc.”).

(24) The term “high-speed algorithmic trader” refers to a customer or a member who has completed registration and reporting to the Exchange pursuant to [§104-3] to conduct high-speed algorithmic trading. [December 7, 2022]

(25) The terms used in this Regulation, other than those referred to in paragraphs (1) through (24), shall have the same meanings given to them in the Act and the regulations governing the businesses of the Exchange. (Amended on January 28, 2009; December 5, 2018; December 7, 2022) (Moved from paragraph (22) on December 7, 2022)

§3. Fiction in Application

(1) [Deleted on August 28, 2019]

(2) In applying this Regulation, the provisions governing the debt securities shall apply *mutatis mutandis* to the beneficiary certificates subject to [§111] of the Listing Regulation. (Amended on January 28, 2009; July 6, 2011; February 22, 2013)

(3) [Deleted on August 27, 2014]

(4) In applying this Regulation, any entity that falls under each subparagraph of [§41(2)] of the Membership Regulation shall be deemed as a member. [November 20, 2019]

CHAPTER II. MARKET OPERATION

Section 1. Classification and Opening/Closing of the Market

§4. Market Classification and Trading Hours

(1) The Market shall be classified as followings: (Amended on July 22, 2005; January 28, 2009; July 16, 2009; December 1, 2010; August 27, 2014)

1. Stock market;
2. Collective investment securities of ETFs market;
- 2-2. Exchange-traded notes market;
3. Subscription right certificates market;
4. Subscription warrants market;
- 4-2. ELWs market;
5. Beneficiary certificates market; and
6. Debt securities market.

(2) The markets under subparagraphs 1 through 2-2 of paragraph (1) shall have off-hours trading sessions, in addition to regular sessions. (Amended August 27, 2014)

(3) The trading hours shall be as follows. Provided that the trading hours may be changed temporarily, when the Exchange deems it necessary for market management in such cases as computer system failures, etc. and accordingly stipulates it in the Enforcement Rules. (Amended on May 13, 2005; July 21, 2010; December 1, 2010; June 18, 2014; April 29, 2015; June 8 2016; April 3, 2019)

1. Regular session: From 09:00 to 15:30 (when determining the prices at the time of market closing under [§23(1)4], it shall be until the concerned prices are determined after 15:30), but the trading hours for the regular session auction-based block trades under [§30-2] shall be from 09:00 to 15:00.

2. In the case of off-hours sessions, the trading hours in each of the following items:

(a) Pre-hours session: It shall be from 08:00 to 09:00, but the trading hours for the off-hours closing price trades shall be 08:30 to 08:40; and

(b) After-hours session: It shall be from 15:40 to 18:00, but, in the case of the off-hours closing price trade, it shall be from 15:40 to 16:00 and in the case of off-hours call auction, it shall be 16:00 to 18:00 (when determining the last price, it shall be until the concerned price is determined after 18:00).

§5. Temporary Closing of the Market

The Exchange will not be open for business on any of the following days: (Amended on

December 1, 2010)

1. Public holidays under the Regulation on Government and Public Offices Holidays;
2. The Labor Day under the Act on Establishment of Labor Day;
3. Saturdays;
4. December 31 (when it falls on public holiday or Saturday, it shall be the trading day immediately preceding December 31); and
5. Other days when a sudden change in economic conditions occurs or is expected to occur, or the Exchange deems it necessary for market management.

§6. Temporary Suspension of Market Sessions and Reopening Thereafter

- (1) When it deems it necessary for market management, the Exchange may suspend the market sessions in whole or in part.
- (2) When the market session was suspended pursuant to paragraph (1) and the grounds thereof were resolved, the Exchange shall reopen the market session without delay.

Section 2. Types of Trading and Intermediation of Trade Execution

§7. Types of Trades

- (1) The types of trades shall be as follows: (Amended on December 28, 2011)
 1. Cash settlement trade: A trade, the delivery and settlement of which are completed on the very day of trading;
 2. Continuous net settlement (CNS) trade: A trade, the delivery and settlement of which are completed on the first business day (the second business day, in the case stipulated in the Enforcement Rules) following the date of trading; and
 3. Regular way trade: A trade, the delivery and settlement of which are completed on the second business day following the date of trading.
- (2) The temporary market closing days shall be disregarded for the purpose of counting the number of days under subparagraphs 2 and 3 of paragraphs (1).
- (3) Notwithstanding paragraph (1), the Exchange may change the settlement date when it deems that the settlement cannot be concluded normally due to natural disasters, wars, accidents, sudden and significant changes in economic conditions, other incidents similar thereto, or computer system failures.

(4) The trades of listed securities shall be executed by the regular way, unless otherwise stipulated in the Enforcement Rules. (Amended on January 28, 2009)

§8. Intermediation of Trades Execution

The intermediation of execution of trades among the members shall be performed by the Exchange.

§8-2. Guidelines on Connection, etc. to Member System

(1) For the purposes of promoting fair competition in the Market and efficient and reliable operation of the Exchange system, the Exchange shall establish the “Guidelines on Connection, etc. to Member Systems” governing the matters stipulated in the Enforcement Rules including the methods of connection of systems between the Exchange and its members and between members and their customers. (Amended on December 7, 2022)

(2) When newly establishing the “Guidelines on Connection, etc. to Member Systems” or making changes thereto, the Exchange shall notify such fact to the members without delay. (Amended on December 7, 2022)

(3) Each member shall comply with the “Guidelines on Connection, etc. to Member System” established by the Exchange pursuant to paragraph (1). (Amended on December 7, 2022)

[July 6, 2011]

Section 3. Quotations

§9. Methods and Types of Quotations

(1) When a member wishes to trade, it shall enter quotations by account into the Exchange system by specifying whether the quotations are for customer account transaction or self-account transaction, and for bid or offer. Provided that in the cases stipulated in the Enforcement Rules, the details of an order related to multiple accounts may be inputted by quoting them collectively. (Amended on July 20, 2007)

(2) The types of quotations that the members are permitted to place per class of securities shall be set forth in the Enforcement Rules. (Amended on January 28 2009)

(3) In the case of debt securities, in addition to the quotations by issue, the quotations by class may be placed as stipulated in the Enforcement Rules. (Amended on January 28, 2009)

(4) In cases when a member cannot transmit quotations due to system failures of its member computer system, the member can enter the quotations into the Exchange computer system via member securities terminals (referring to the terminals, among those installed in head office, branch offices and other business locations of the member for the purpose of inputting

quotations, which are connected to the Exchange computer system under the authorization of the Exchange; the same hereinafter). In such cases, the provisions of [§11-2] concerning the suitability check of quotations by members shall not apply. [November 4, 2015]

(5) In cases where a member changes the location of its member securities terminals, the member shall notify such fact to the Exchange without delay. [November 4, 2015]

§10. Quotation Receiving Hours

(1) Quotations shall be placed during the quotation receiving hours.

(2) The quotation receiving hours (including the case of change in the quotation receiving hours) referred to in paragraph (1) shall be specified in the Enforcement Rules.

§11. Quotation Details

The details of a quotation to be input into the Exchange's computer system shall be stipulated in the Enforcement Rules.

§11-2. Member's Obligation for Prior Inspection of Quotations, etc.

(1) Before transmitting quotations to the Exchange system, each member shall inspect the matters specified in the Enforcement Rules including the suitability of quotations directly (including the case where the affairs were entrusted to a third party pursuant to Article 42 of the Act).

(2) Only when the suitability of a quotation was confirmed as a result of the checking conducted according to paragraph (1), the member shall immediately transmit the concerned quotation to the Exchange system.

[July 6, 2011]

§12. Validity of Quotations, etc.

(1) Each quotation shall be effective from the time of receipt during the quotation receiving hours of the day under [§10] to the time of trade execution. Provided that if it is provided in the Enforcement Rules, the validity of a quotation may be limited.

(2) Restrictions on placement of quotations, the conversion of limit-to-market-on-close quotations, priority of effectuation as a limit quotation of a stop-limit quotation, the quotation prices and conversion methods among yields of debt securities, and other necessary matters relating to quotations shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009; February 5, 2025)

§13. Cancellation and Correction of Quotations

- (1) The cancellation and correction of a quotation shall be made only to the quantity not yet executed.
- (2) The matters necessary in relation to the cancellation and correction of quotations under paragraph (1) shall be stipulated in the Enforcement Rules.

§13-2. Cancellation of Quotations upon Disconnection

- (1) In the case where the connection between the member system and the Exchange system is recognized as disconnected and it is stipulated in the Enforcement Rules, a member may request to the Exchange in advance to cancel quotations (hereinafter referred to as the “cancellation of disconnected quotations”) within a certain range at once. In such case, the Exchange may cancel the quotations as stipulated in the Enforcement Rules.
- (2) The methods of request and cancellation of the request under paragraph (1), quotations subject to cancellation, and other necessary matters shall be stipulated by the Enforcement Rules.

[December 7, 2022]

§14. Logging of Quotations

- (1) The Exchange shall log the quotations transmitted from its members, in the sequence of receipt, into the Exchange’s computer system, without delay.
- (2) The matters necessary for logging the quotations pursuant to the provisions of paragraph (1) shall be stipulated in the Enforcement Rules.

CHAPTER III. TRADING OF STOCK CERTIFICATES, ETC.

Section 1. Common Provisions

§15. Scope of Application

This Chapter shall apply to the trading of stock certificates (excluding the stocks of ETF investment companies; the same hereinafter), DRs of foreign stocks, collective investment securities of ETF investment companies, ETNs, subscription right certificates, subscription warrants, ELWs and beneficiary certificates (excluding the beneficiary certificates of ETF investment trusts; the same hereinafter) (hereinafter referred to as “stocks, etc.”). (Amended on July 22, 2005; January 28, 2009; July 16, 2009; August 27, 2014; December 28, 2016)

Section 2. Management of Quotations and Restriction on Quotation Price

§16. Management of Quotations for Program Trading

(1) From among the futures contracts of which underlying asset is the KOSPI 200 that is traded in the domestic index futures market under of [§3(2)1] of the Derivatives Market Business Regulation, when the price of the contract of which trading volume on the immediately preceding day is the highest (in cases where there are two or more such contracts, it shall be the contract whose last trading day arrives first) falls or rises 5/100 or more below or over the base price stipulated in [§70(2)] of the same Regulation, and such situation lasts for one (1) minute, the Exchange shall suspend the validity of the bid and ask quotations received for program trading for a period of five (5) minutes beginning from that point of time. Provided that this provision shall not apply during the forty (40) minutes immediately before the market closing. (Amended on January 28, 2009; February 8, 2017)

(2) The suspension of validity of program trading quotations shall apply only when a quotation falls under the quotation suspension conditions specified in paragraph (1) for the first time in the day. In such cases, the conditions for suspension of validity of program trading quotations shall be determined from the time after five (5) minutes have elapsed since the market opening.

(3) When the program trading quotations, the validity of which has been suspended pursuant to paragraph (1) (including the quotations which have been placed to cancel or correct the suspended quotation), falls under any of the following cases, the suspension of validity of quotation shall be lifted, and in such cases, the quotations shall participate in price determination in the order of receipt: (Amended on July 7, 2006; January 28, 2009)

1. When five (5) minutes have elapsed from the time of suspension of quotation validity of program trading;
2. When it is forty (40) minutes before the market closing; and

3. In cases where the trading in the stock market was halted pursuant to [§6] and [§25] during the period when the validity of program trading quotations has been suspended, when the concerned trading was resumed.

(4) [Deleted on December 5, 2018]

(5) Any other matters necessary in relation to the program trading quotations shall be stipulated in the Enforcement Rules. (Amended on December 5, 2018)

§17. Restrictions on Short Sale Quotations

(1) No member shall conduct a short sale prescribed in Article 180(1)¹ of the Act or place quotations after receiving entrustment of such short sales. Provided that it shall not be deemed as a short sale, when falling under any of the following subparagraphs:

1. Case of selling listed securities, the bid orders of which have been executed, within the matching quantity before the settlement date;

2. Case of selling stocks to be acquired through the right exercise of convertible bonds, exchangeable bonds and bonds with warrants or through the capital increase with/without consideration, stock dividends, etc., for which the settlement can be made by the settlement date subsequent to the listing of the concerned stocks;

3. Case where the settlement can be made by the settlement date and it falls under any of the following items:

(a) A sale of a listed security, only if it is confirmed that the listed security is placed in the custody of any depository institution, other than an investment broker requested to place a selling order or is owned other means;

(b) A sale of a collective investment security to be received following additional issuance of listed collective investment securities;

(c) A sale of a listed security to be received by claiming redemption of collective investment securities of ETFs as prescribed in Article 234 of the Act;

(d) A sale of a listed security to be acquired upon the termination of a deposit contract for depository receipts;

(e) A sale of a listed security that has been lent to someone else, but the return of which is finally confirmed;

(f) A sale of a listed security to be delivered by trading outside the Market or by other contracts;

(g) A sale of a depository receipt to be acquired in exchange for the deposit of any of the securities referred to in Paragraph (1) 1 through 4 of Article 208 of the Enforcement

Decree of the Act; and

(h) Case where an agreement has been made with a customer to purchase listed securities in after-hours sessions after the market closing on the day when the member placed the quotation, and the relevant listed securities are sold within the relevant quantity.

(2) In the case of conducting a short sale prescribed in Article 180(1)2 of the Act (hereinafter referred to as the “covered short sale”) or placing a quotation after receiving an entrustment of such covered short sale, each member shall place the quotation in the manner noted in each of the following subparagraphs:

1. When receiving an entrustment of an ask order from a customer:

(a) The member shall be notified by the customer of the fact that the concerned ask order is for covered short sale. In such cases, if the customer is an officer or employee of the relevant listed corporation, such fact shall also be notified;

(b) The member shall verify if the ask order is for covered short sale and if the settlement obligation following the trade execution can be fulfilled;

(c) In cases where there is a concern about the likelihood of non-fulfillment of settlement obligation following the execution of covered short sale, the member shall not either accept the entrustment of covered short sale or place a quotation for such covered short sale; and

(d) In cases where the concerned sale is a covered short sale, the member shall notify such fact to the Exchange.

2. When submitting a quotation for covered short sale, the member shall notify the Exchange of the fact that the concerned sale is a covered short sale.

(3) When verifying the ability to fulfill the settlement obligation pursuant to paragraph (2)1(b), a member shall accomplish it in the manner noted in each of the following methods: (Amended on March 4, 2009; December 11, 2013)

1. At the time of receiving an ask order, the member shall request the customer to notify if the concerned ask order is for covered short sale and if an agreement for securities borrowing has been entered into;

2. The notification under subparagraph 1 shall be made in the manner noted in any of the following items:

(a) By submitting a written document;

(b) Via telephones, telex, facsimile, electronic mail, etc.; or

(c) Via computers or other similar electronic communication methods.

3. The details of information received shall be recorded and kept in the manner stipulated in the Enforcement Rules.

(4) Notwithstanding paragraph (3), in cases where a member has received from a customer the consent not to submit orders for covered short sale and has modified the computer program not to transmit the covered short sale orders of the relevant customer's account, it shall be deemed that the verification pursuant to paragraph (2)1(b) has been accomplished. Provided that, in cases where the customer has conducted a short sale from the relevant account, the member shall make the verification noted in paragraph (2)1(b) using the methods noted in paragraph (3) for a period of one hundred and twenty (120) days from the trading day following the day when the member recognized such fact. [December 11, 2013] (Amended on December 5, 2018)

(5) [Deleted on February 8, 2017]

(6) Notwithstanding paragraph (2), the Exchange may restrict the covered short sale of any issue that falls under any of the following subparagraphs. Provided that this provision shall not apply to the case of covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules. (Amended February 8, 2017; March 8, 2021)

1. The issues falling under the criteria set forth in the Enforcement Rules such as the share price decline rate and the proportion of covered short sale, etc.; or

1-2. [Deleted on February 8, 2017]

2. The issues that the Financial Services Commission deems it likely to hinder the stability and formation of fair market prices on the securities market and accordingly restricts the covered short sale thereof pursuant to the Paragraph (3) of Article 180 of the Act, upon receiving the request from the Exchange, by specifying the scope of listed securities, type and deadline of trading, etc.

(7) When it is deemed necessary, the Exchange may request the member to submit the data relating to the short sale and covered short sale.

(8) The matters necessary with respect to the restrictions on the covered short sale quotations pursuant to paragraph (6) shall be stipulated in the Enforcement Rules. [February 8, 2017]

(Wholly amended on January 28, 2009)

§18. Restrictions on Prices of Quotations for Covered Short Sale

(1) When conducting a covered short sale or placing a quotation entrusted for a covered short sale pursuant to Article 208(2) of the Enforcement Decree of the Act, members shall not submit the quotation at a price that is lower than the most recent price. Provided that if the most recent price is higher than the price immediately preceding the most recent price (referring to a price that is different from the most recent price, which has been established most recently), it may be quoted at the most recent price. (Amended on July 6, 2007; January 28, 2009)

(2) Notwithstanding the provisions of paragraph (1), when falling under any of the followings, members may place quotations at the prices below the most recent price: (Amended on July 22, 2005; November 25, 2005; July 7, 2006; July 6, 2007; December 21, 2007; January 28, 2009; July 16, 2009; August 27, 2014; November 26, 2014; November 4, 2015; March 8, 2021)

1. Case of selling a basket of constituent stocks for a trade that is conducted by linking the trading of the basket of constituent stocks with the trading of the index futures or options for the purpose of gaining profits by exploiting the difference between the price of the basket of constituent stocks of the relevant index and the price of index futures or option and is stipulated in the Enforcement Rules;

1-2. [Deleted on March 8, 2021]

2. Case of selling underlying stocks for a trade that is conducted by linking the trading of the underlying stocks with the trading of options or futures contracts for the purpose of gaining profits by exploiting the difference between the price of underlying stocks and the price of options or futures contracts based on such underlying stocks, and is stipulated in the Enforcement Rules;

3. Case of selling collective investment securities of ETFs;

3-2. Case of selling ETNs

4. Case where a trade that is conducted by linking the DRs of stocks (including the DRs of foreign stocks; the same hereinafter) and its underlying stocks is carried out for the purpose of gaining profits from the difference between the price of DRs and price of underlying stocks, and is stipulated in the Enforcement Rules;

5. Case of submitting liquidity providing quotations for equity-linked warrants pursuant to [§20-2(1)];

5-2. [Deleted on March 8, 2021];

6. Case of selling underlying stocks in order to avoid or cut the loss resulting from the fluctuation of the price of an equity-linked warrant (ELW) that was sold or purchased by a member who submits the liquidity providing quotations pursuant to [§20-2(1)];

7. Case of selling underlying stocks in order to avoid or cut the loss resulting from fluctuation of the price of collective investment securities of ETFs that were purchased by a member who submits the liquidity providing quotations for collective investment securities of ETFs pursuant to [§20-2(1)];

7-2. Case of selling underlying stocks in order to avoid or cut the loss resulting from the fluctuation of the price of ETNs that were purchased by a member who submits the liquidity providing quotations for ETNs pursuant to [§20-2(1)]; and

8. Case of selling underlying stocks in order to avoid or cut the loss resulting from the

fluctuation of the price of futures contracts purchased, or options contracts purchased or sold through the market making accounts by a member who is a market maker under [§83] of the Derivatives Market Business Regulation.

(3) The matters necessary for the restriction on the price of quotations for covered short sale pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

§18-2. Follow-up Management of Short Sale Quotations

(1) On the settlement date, members shall collect the relevant materials such as the agreement for securities borrowing or details of balance of securities held from the customer [including the customer whom the trust business entity under Article 182(2)1(b) of the Act and the depository under Article 6-21 of the “Regulations on Financial Investment Business” of the Financial Services Commission, has notified of the fact that although the balance of securities held by the customer is more than the quantity required for the settlement, no settlement instruction has arrived or there is flaw in the settlement instruction; but this provision shall not apply to the case where the customer settled the trade using the securities held before the settlement deadline] for whom the fact that the balance of securities held by the relevant customer is less than the quantity required for the settlement has been confirmed and verify whether the customer has sold the securities in possession, or the securities of which settlement cannot be made by the settlement deadline, and shall record and keep the relevant details. (Amended on September 19, 2012)

1. [Deleted on September 19, 2012]

2. [Deleted on September 19, 2012]

(2) Notwithstanding paragraph (1), paragraph (1) shall not apply to transactions of corporations that are required to take measures pursuant to Article 208-7(2)1(d) of the Enforcement Decree of the Act. [January 28, 2026]

(3) The Exchange may request members to submit the details of the verification made pursuant to paragraph (1) on whether the customer has sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline and the materials relevant thereto. (Amended on September 19, 2012)

(4) In cases where the details of verification and the materials relevant thereto obtained from members pursuant to paragraph (3) and the inspection, etc. have confirmed that the customer sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline during the latest six (6) months, or where the Financial Services Commission has notified of the fact of the customer’s violation of Article 180(1) of the Act, the Exchange may notify the details noted in any of the following subparagraphs and the information on the customer falling thereunder to the relevant member. In such cases, upon receiving the notification from the Exchange, the member shall notify other members of the concerned fact without delay. (Amended on September 19, 2012; February 8, 2017; December 5, 2018; January 28, 2026)

1. In the case of falling under any of the following items: To confirm the advance delivery

of the securities sold when receiving orders for covered short sale from the relevant customer for a period of forty (40) days:

(a) Case where the number of days (hereinafter referred to as the “number of selling days”) when securities not in possession or the securities of which settlement cannot be made by the settlement deadline is one (1) and the total amount sold (hereinafter referred to as the “accumulative amount sold”) is over KRW 500 million and KRW 1 billion or less; or

(b) Case where the number of selling days is two (2) or more and four (4) or less, and the accumulative amount sold is KRW 500 million or less.

2. In the case of falling under any of the following items: To confirm the advance delivery of the securities sold when receiving orders for covered short sale from the relevant customer for a period of eighty (80) days:

(a) Case where the number of selling days is one (1) and the accumulative amount sold is over KRW 1 billion;

(b) Case where the number of selling days is two (2) or more and four (4) or less, and the accumulative amount sold is over KRW 500 million and KRW 1 billion or less; or

(c) Case where the number of selling days is five (5) or more and the accumulative amount sold is KRW 500 million or less.

3. In the case of falling under any of the following items: To confirm the advance delivery of the securities sold when receiving orders for covered short sale from the relevant customer for a period of one hundred and twenty (120) days:

(a) Case where the number of selling days is two (2) or more and four (4) or less, and the accumulative amount sold is over KRW 1 billion; or

(b) Case where the number of selling days is five (5) or more, and the accumulative amount sold is over KRW 500 million and KRW 1 billion or less.

4. In cases where the number of selling days is five (5) or more and the accumulative amount sold is over KRW 1 billion: To confirm the advance delivery of the securities sold for a period of one hundred and twenty (120) days.

(5) The provisions of paragraph (4) shall apply *mutatis mutandis* to the case where the Financial Services Commission has notified the Exchange that the customer violated the reporting obligations prescribed in Article 180-2(1) of the Act or the disclosure obligations prescribed in Article 180-3(1) of the Act. Provided that this provision shall not apply to “during the latest six (6) months” noted in the text other than each subparagraph of paragraph (4). [September 19, 2012] (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(6) In applying paragraph (4) *mutatis mutandis* under paragraph (5), the “number of selling days” in each item of paragraph (4) shall be construed as the “number of days when the reporting obligations prescribed in Article [§180-2(1)] of the Act or the disclosure obligations

prescribed in Article 180-3(1) of the Act have been violated” and the “accumulative amount sold” shall be construed as the “average daily amount of the amount violated the reporting obligations prescribed in Article 180-2(1) of the Act or the disclosure obligations prescribed in Article 180-3(1) of the Act”. [September 19, 2012] (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(7) In addition, other matters necessary for the follow-up management of short sale quotations shall be stipulated in the Enforcement Rules.

[March 4, 2009]

§19. [Deleted on November 25, 2005]

§20. Limits on Quotation Prices

(1) The quotation prices of stocks, DRs of foreign stocks, collective investment securities of ETFs, ETNs and beneficiary certificates shall neither be higher than the price obtained by adding the price change limit (hereinafter referred to as “upper limit price”) to the price that is used as the base when determining the price change limit stipulated in the Enforcement Rules (hereinafter referred to “base price”) nor lower than the price obtained by subtracting the price change limit from the base price (hereinafter referred to as “lower limit price”). In such cases, this provision shall apply to the cases specified in the Enforcement Rules because the upper or lower limit price is deemed inappropriate. (Amended on January 28, 2009; July 16, 2009; August 27, 2014)

(2) The price change limits stipulated in paragraph (1) shall be equal to the amount calculated by multiplying the base price by 0.3 (Out of the amounts obtained, the amount less than the quotation price unit of the base price shall be discarded; the same hereinafter in this Article), but in the case of an ETN that links the change in the price or index of the target underlying asset with the collective investment securities of an ETF under [§7-26(4)1] of the Regulations on Financial Investment Business to a specific multiple (including a negative multiple), it shall be the amount obtained by multiplying the relevant amount by the relevant multiple (if it is negative, it shall be the absolute value of the multiple). Provided that it shall be the lowest price among the quotation price units when the amount obtained is less than the lowest value of the quotation price unit. (Amended on April 21, 2010; August 27, 2014; April 29, 2015)

(3) Notwithstanding the provisions of paragraph (1), in the case of an issue that is permitted to trade for a fixed period of time pursuant to [§9] of the Listing Regulation (hereinafter referred to as “issue scheduled to be delisted”), no limits shall be placed on the price, and in the cases stipulated by the Enforcement Rules, notwithstanding paragraph (2), the price change limits may be determined differently. (Amended February 22, 2013; July 10, 2019)

Section 2-2. Liquidity Providing Quotations

[November 25, 2005]

§20-2. Liquidity Providing Members

(1) A member, who has entered into an agreement for liquidity provision with a corporation that has issued the listed securities falling under any of the following subparagraphs (in the case of ETNs or ELWs, the members who have submitted the plan for liquidity provision shall be included), may submit quotations for liquidity provision for the relevant issues during the regular session (hereinafter referred to as the “liquidity providing quotations”): (Amended on January 28, 2009; July 16, 2009; December 1, 2010; August 27, 2014)

1. Stocks (including the DRs of foreign stocks: the same hereinafter in this Section). Provided that the stocks specified in the Enforcement Rules shall be excluded;

2. Collective investment securities of ETFs;

2-2. ETNs; and

3. ELWs.

(2) The members who are eligible for submission of liquidity providing quotations pursuant to paragraph (1) shall meet each of the following requirements: (Amended on December 21, 2007; January 28, 2009; April 15, 2009; July 16, 2009; December 1, 2010; November 4, 2011; August 27, 2014; February 11, 2015; July 22, 2020)

1. In the case of stocks:

(a) To be a clearing member who has obtained the license for investment dealing business for stocks;

(b) To have designated a staff responsible for the tasks relating to liquidity provision; and

(c) In the case of falling under any of the following cases, at least one (1) year has been elapsed since the occurrence of the relevant incident:

(i) Where the results of assessments carried out pursuant to [§20-6] shows the lowest grade for three (3) consecutive times; and

(ii) Where it was confirmed that, the member has been subject to a criminal sanction or any measures equivalent to or heavier than business suspension or trading suspension, on account of a relevant statutes on securities businesses and the business regulations of the Exchange in the course of performing the tasks of liquidity provision.

2. In the case of collective investment securities of ETFs:

(a) To be a clearing member with the business permission for investment dealing business, who is an authorized participant under Article 247 of the Enforcement Decree of the Act. Provided that, in the case of collective investment securities of foreign ETFs,

the prerequisite of authorized participant shall not apply; and

(b) To satisfy the requirements specified in subparagraphs 1(b) and 1(c).

2-2. In the case of ETNs:

(a) To be a clearing member with the business permission for stocks and derivatives,

(b) In cases where any of the following occurs as a result of the assessment pursuant to [§20-6], the period specified below shall elapse since the concerned time; and

(i) In case of receiving the second lowest grade: One (1) month;

(ii) In case of receiving the lowest grade once: Two (2) months;

(iii) In case of receiving the lowest grade for two (2) consecutive times: Three (3) months; and

(iv) In case of receiving the lowest grade for three (3) consecutive times: Six (6) months.

(c) To satisfy the requirements specified in subparagraphs 1(b), 1(c)(ii) and 3(b).

3. In the case of ELWs:

(a) To be a clearing member with the business license for investment dealing business for securities and OTC derivatives;

(b) The value obtained by dividing the amount calculated by subtracting gross risks from net operating capital by the aggregate of equity capital for each authorized or registered business unit under Paragraph (1)3 of Article 166-2 of the Act shall be greater than or equal to the ratio prescribed in the same Subparagraph.

(c) In the case of receiving the lowest grade for two (2) consecutive times as a result of the assessment pursuant to [§20-6], at least one (1) month has been elapsed since the concerned time; and

(d) To satisfy the requirements specified in subparagraphs 1(b) and 1(c).

(3) In cases where a member fails to meet the requirements specified in paragraphs (2)1(a), (2)2(a), (2)2-2(a) and (2)3(a) such member shall be prohibited from submitting the liquidity providing quotations from the time of such failure, and in cases where a member fails to meet the conditions stipulated in paragraphs (2)1(b) or 1(c), (2)2(b), (2)2-2(b) or 2-2(c), (2)3(b) through (2)3(d), such member shall be prohibited from submitting the liquidity providing quotations from the completion of the term of agreement for liquidity provision that was entered into before such failure. (Amended on December 21, 2007; April 15, 2009; December 1, 2010; August 27, 2014)

(4) In addition to paragraphs (1) through (3), the matters necessary for the liquidity providing

members shall be stipulated in the Enforcement Rules. (Amended on December 1, 2010)

[November 25, 2005]

§20-3. Agreement for Liquidity Provision

(1) In order to submit liquidity providing quotations for stocks, members shall enter into an agreement for liquidity provision with stock-listed corporations in advance, which include the details such as the quotation prices and quotation quantity that are stipulated in the Enforcement Rules.

(2) When entering into or terminating an agreement for liquidity provision or changing material details of the agreement, the members shall notify such facts to the Exchange in accordance the manner stipulated in the Enforcement Rules.

[November 25, 2005]

§20-4. Obligation to Submit Liquidity Providing Quotations

(1) In cases where the quotation spread or quotation spread ratio based on the best quotation price (referring to the offer quotation with the lowest price and the bid quotation with the highest price among quotations excluding mid-price quotations; the same hereinafter) during the trading hours of the regular session exceeds the limit specified in each of the following subparagraphs (including the case where there is no quotation on one side or both sides of bid or ask quotation), the liquidity providing quotations shall be submitted within five (5) minutes of such occurrence. In such cases, the members who have entered into a liquidity provision agreement for an ETN (including the members who have submitted a liquidity provision plan) shall hold the securities of the ETN in excess of the quantity stipulated in the Enforcement Rules. (Amended July 16, 2009; August 27, 2014; July 22, 2020; February 5, 2025)

1. In the case of stocks, the quotation spread ratio that the member, who entered into an agreement for liquidity provision with the listed corporation, has reported to the Exchange, which is less than 3/100;

2. In the case of listed collective investment securities of ETFs or ETNs, the quotation spread reported to the Exchange by the company that listed the concerned collective investment securities of ETFs or ETNs within the quotation spread that is less than 2% if it tracks only Korean underlying assets, and less than 3% if it tracks foreign underlying assets (including the case that includes some of foreign underlying assets: the same hereinafter in this Article; and

3. In the case of an ELW, the quotation spread ratio that the company that listed the concerned ELW has notified to the Exchange.

(2) Pursuant to Article 247(4) of the Enforcement Decree of the Act, to make the price of collective investment securities converge to the net asset value per unit or share, the member

shall submit the liquidity providing quotations while ensuring that the disparate ratio calculated using the following formula does not exceed 3% (6%, if it tracks foreign underlying assets; the same hereinafter): (Amended August 27, 2014)

Disparate ratio (%) = $[(\text{Closing price} - \text{Net asset value per unit or share}) / \text{Net asset value per unit or share}] \times 100$

(3) To make the price of ETNs converge to indicative value pursuant to [§149-3(2)4] of the Listing Regulation, the member shall submit the liquidity providing quotations while ensuring that the disparate ratio calculated using the following formula does not exceed 3/100 (6/100, if it tracks the foreign underlying assets): [August 27, 2014]

Disparate ratio (%) = $[(\text{Closing price} - \text{indicative value}) / \text{indicative value}] \times 100$

(4) “The quotation spread” mentioned in paragraph (1) shall refer to the price difference between an offer quotation and a bid quotation, and “the quotation spread ratio” shall refer to the ratio of a quotation spread to a bid quotation price.

[November 25, 2005]

(5) Notwithstanding paragraph (1), the members may not submit liquidity providing quotations in case where it is specified in the Enforcement Rules. [Established on July 22, 2020]

§20-5. Method of Submitting Liquidity Providing Quotation

(1) When placing liquidity providing quotations for stocks (including the case of correcting the concerned quotations), such quotations shall be submitted using the prices specified in each of the following subparagraphs through the separate account established beforehand. Provided that, in cases where application of such prices is difficult, it shall be governed by the provisions of the Enforcement Rules. (Amended on January 28, 2009; March 2, 2011; February 5, 2025)

1. In the case of offer quotations:

While setting the price of best bid quotation (referring to the bid quotation with the highest price among quotations excluding mid-price quotations; the same hereinafter) as the lower limit price, and the higher price between the price at which the quotation spread ratio is within the ratio pursuant to [§20-4(1)1] and the price (limited to a case where ask quotations have been submitted) of best offer quotation (referring to the offer quotation with the lowest price among quotations excluding mid-price quotations; the same hereinafter) as the upper limit price (the upper limit price shall be the limit), the prices between such lower and higher limit prices. Provided that no quotation shall be submitted at the best bid quotation price if the liquidity supplying quotation at the best bid quotation price (including the liquidity supplying quotation submitted by other members) has already been submitted. [February 5, 2025]

2. In the case of bid quotations:

While setting the best offer quotation price as the upper limit price, and the lower price between the price at which the quotation spread ratio is within the ratio pursuant to [§20-4(1)1] and the best bid quotation price (limited to a case where bid quotations have been submitted) as the lower limit price (the lower limit price shall be the limit), the prices between such lower and higher limit prices. Provided that no quotation shall be submitted at the best offer quotation price if the liquidity providing quotation at the best offer quotation price (including the liquidity providing quotation submitted by other members) has already been submitted.

(2) In cases where a member submits liquidity providing quotations for listed collective investment securities of ETFs, ETNs or ELWs, such member shall submit the liquidity providing quotations through a separate liquidity providing account that has been established beforehand. In such cases, matters necessary for the liquidity providing account shall be specified in the Enforcement Rules. [March 8, 2021]

(3) Matter concerning the quantity of liquidity providing quotations or correction thereof submitted by the members shall be stipulated in the Enforcement Rules.

(4) In cases where a member submits liquidity providing quotations for one side of the offer or bid quotations, such member shall submit liquidity providing quotations for the other side without delay. Provided that this provision shall not apply to the cases specified in the Enforcement Rules.

(5) The restrictions on submission of liquidity providing quotation and other matters concerning the liquidity providing quotation shall be stipulated in the Enforcement Rules.

[November 25, 2005]

§20-6. Assessment of Liquidity Providing Members

(1) The Exchange may assess the effectiveness of liquidity provision by members and publicly notify the outcome of such assessment, as stipulated in the Enforcement Rules. In such cases, if the results of assessment on the extent of which the obligation to submit the liquidity providing quotations has been fulfilled pursuant to [§20-4(1)] fall under the conditions stipulated in the Enforcement Rules, the Exchange may ask the concerned listed company to replace the liquidity providing member. (Amended on December 21, 2007)

(2) Members shall provide the Exchange with the materials required for the assessment pursuant to paragraph (1), as stipulated in the Enforcement Rules.

[November 25, 2005]

§20-7. Support for Liquidity Providing Member

(1) According to the outcome of the assessment of the member providing liquidity to ETF collective securities pursuant to [§20-6], the Exchange may provide monetary support within

the transaction fees collected from the liquidity providing member for the transactions of the relevant ETF collective securities. (Amended December 11, 2013)

(2) The criteria and methods for providing the monetary support under paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

[December 29, 2009]

§20-8. Measures According to the Result of Performance Assessment of Liquidity Providing Member

In cases where the member providing the liquidity to ELWs has received the lowest grade as a result of performance assessment pursuant to [§20-6], such member should not be allowed for one (1) month period to place the liquidity providing quotation in access of the number of issues for which the liquidity was provided at that time.

[December 1, 2010]

Section 2-3. Market Makers

[November 4, 2015]

§20-9. Market Makers

(1) Any member who has entered into an agreement for market making with the Exchange to provide liquidity (hereinafter referred to as the “market maker”), may submit the quotations that make the market as stipulated in the Enforcement Rules (hereinafter referred to as “market making quotations”) for the issues that are assessed by the Exchange as low liquidity issues (hereinafter referred to as “low-liquidity issues”). Provided that this provision shall not apply to the issues stipulated in the Enforcement Rules including those issues subject to different methods of trade execution pursuant to [§38-3].

(2) Any member who is eligible for submission of market making quotations pursuant to paragraph (1) shall meet each of the following requirements:

1. To be a clearing member who obtained the license for investment dealing business for stocks;
2. To have designated an officer or staff responsible for the tasks relating to market making; and
3. Other requirements stipulated in the Enforcement Rules in consideration of expertise, risk management capability, financial soundness, social credit, etc.

(3) Selection of low-liquidity issues that are subject to market making quotations, matters to be stated in the market-making agreement and methods of entering into a market-making agreement pursuant to paragraphs (1) and (2), and other necessary matters shall be stipulated

in the Enforcement Rules.

[November 4, 2015]

§20-10. Obligation to Maintain Market Making Quotations

(1) Market makers shall submit market making quotations and maintain those quotations in accordance with the details of market-making agreements. Provided that this provision shall not apply to the cases specified in the Enforcement Rules.

(2) The obligation to maintain market making quotations, exemption from such obligation and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§20-11. Assessment of Market Makers, etc.

(1) The Exchange may take actions such as making payments for the market making activities within the amount of the fee revenue earned from the transactions of the stocks, etc. or suspension of the market maker's qualification, etc., after assessing the market-making performance of market makers in accordance with the manner stipulated in the market-making agreement. (Amended on July 10, 2019)

(2) The assessment of market makers, criteria on and methods of the payments, criteria for the suspension of qualification and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

Section 3. Quotation Unit and Trading Unit

§21. Quotation Unit and Trading Unit

The quotation quantity units, quotation price units (referring to the minimum price units to be used when placing a quotation; the same hereinafter) and the trading quantity units shall be stipulated in the Enforcement Rules.

Section 4. Execution of Trade

§22. Auction Principles

(1) Trade shall be executed by ways of individual auction and the individual auction shall be classified into the call auction and the continuous auction.

(2) Priority of bid and offer quotations in individual auction shall be assigned according to each of the following guidelines:

1. The lower offers shall have a priority over higher offers, and higher bids shall have a priority over lower bids. Provided that the market quotations shall have a priority over limit quotations in terms of price, but the offer market quotations and the limit quotations at lower limit price, and the bid market quotations and the limit quotations at upper limit price shall be deemed to be the same price quotations, respectively; and

2. In the case of the quotations with same price and market quotations, the quotations received earlier shall have priority over the quotations received later.

(3) Notwithstanding paragraph (2)2, from among the quotations participated in determining the prices under [§23(1)1 through 3], the following quotations shall be treated as simultaneous quotations, and the priority order among simultaneous quotations shall be stipulated in the Enforcement Rules:

1. In cases where the concerned price is determined at the upper limit price; the upper bid price. In such cases, the market quotation which is deemed to be the upper limit price pursuant to [§23(3)] and the quotation at the highest price allowed to participate in the determination of the first price of the issues set forth in [§37(1)]; and

2. In cases where the concerned price is determined at the lower limit price; the lower offer price. In such cases, the market quotation which is deemed to be the lower limit price pursuant to [§23(3)] and the quotation at the lowest price allowed to participate in the determination of the first price of the issues set forth in [§37(1)].

§23. Call Auction

(1) Each of the following prices shall be determined by the call auction except otherwise provided in the Enforcement Rules: (Amended on July 22, 2005; October 17, 2012; February 22, 2013; June 18, 2014; April 29, 2015; December 7, 2022)

1. The opening price;

2. The first price after reopening the market pursuant to [§6(2)];

3. The first price after the trading is resumed according to [§25(1)], [§26(4)] and [§107(4)], [§153(2)] of the Listing Regulation and [§40(5)] of the KOSPI Market Disclosure Regulation (hereinafter referred to as “the Disclosure Regulation”);

4. The price at the time of market closing.

5. The first price after the trade execution methods are changed pursuant to [§26-2(1)].

(2) The range of quotations (hereinafter referred to as “quotations participating in call auction”) to be included in determining the prices referred to in paragraph (1) shall be stipulated in the Enforcement Rules.

(3) When determining the price pursuant to paragraph (1), the market quotation shall be deemed to have been placed at any of the following prices: (Amended on February 5, 2025)

1. The most recent price (if the price does not match the quotation price unit, it shall be the nearest price higher than that price, which matches the quotation price unit), in cases where there are only bid and offer market quotations. Provided that, when the total quantity of quotations of one side exceeds that of the other side, the price shall be each of the following items: (Amended on February 5, 2025)

(a) Where the total quantity of offer market quotations is larger, the price (within the lower limit price) that is lower by one quotation price unit than the most recent price (if the price does not match the quotation price unit, it shall be the nearest price higher than that price, which matches the quotation price unit); and (Amended on February 5, 2025)

(b) Where the total quantity of bid market quotations is larger, the price (within the upper limit price) that is higher by one quotation price unit than the most recent price (if the price does not match the quotation price unit, it shall be the nearest price lower than that price, which matches the quotation price unit). (Amended on February 5, 2025)

2. In the cases other than those stipulated in subparagraph 1, the offer market quotation shall be at the lowest among the prices under each of the following items: (Amended on February 5, 2025)

(a) A price that is lower by one quotation price unit than the lowest offer limit quotation price (within the lower limit price);

(b) The lowest of the bid limit quotation prices; and

(c) The most recent price (if the price does not match the quotation price unit, it shall be the nearest price lower than that price, which matches the quotation price unit). (Amended on February 5, 2025)

3. In the cases other than those stipulated in subparagraph 1, the bid market quotation shall be at the highest among the prices under each of the following items: (Amended on February 5, 2025)

(a) A price that is higher by one quotation price unit than the highest bid limit quotation price (within the upper limit price);

(b) The highest of the offer limit quotation prices; and

(c) The most recent price (if the price does not match the quotation price unit, it shall be the nearest price higher than that price, which matches the quotation price unit). (Amended on February 5, 2025)

(4) The price under paragraph (1) shall be deemed to be the prices where the aggregated quantity of offer quotations are matched with aggregated quantity of bid quotations at a specific price (hereinafter referred to the “the matched price”) according to any of the

following methods, and the quotations matched according to the sequence of quotation priority specified [§22(2) & (3)] shall be executed:

1. The total quantity of offer quotations whose prices is lower than the matched price and the total quantity of bid quotations whose prices is higher than the matched price;

2. In the case of bid and offer quotations that are placed at the matched price, the quantity specified in the followings:

- (a) Total quantity of either bid or offer quotation; and

- (b) Of the quantity in excess of the quantity on the other side, the quantity in excess of the quantity of trading unit.

- (5) In cases where there are two or more matched prices, it shall be any of the following prices. Provided that, when the Exchange deems that use of any of the following prices are inappropriate, it shall be a price stipulated in the Enforcement Rules: (Amended on February 5, 2025)

1. Where there is a price that is equal to the most recent price (including the special quotation price; the same hereinafter), such price; and

2. Where there is no price that is equal to the most recent price, the price shall be any of the following sub-items. (Amended on February 5, 2025)

- (a) If the most recent price is higher than the highest matched price or lower than the lowest matched price: the price closest to the most recent price; and (Amended on February 5, 2025)

- (b) If the most recent price is lower than the highest matched price and higher than the lowest matched price: the price closest to the most recent price among the matched prices higher than the most recent price. (Amended on February 5, 2025)

- (6) In cases where there are two prices at which the aggregated quantity of offer quotations is matched with the aggregated quantity of bid quotations pursuant to paragraphs (4)1 and (4)2(a), the trade shall be executed regardless of paragraph (4)2(a). In such cases, paragraph (5) shall apply *mutatis mutandis* to the price determination.

- (7) The range of bid and offer quotations that are allowed to participate in determination of the special quotation price specified in paragraph (5)1 may be limited in accordance with the stipulation in the Enforcement Rules.

- (8) [Deleted on April 29, 2015]

- (9) [Deleted on April 29, 2015]

§24. Continuous Auction

(1) The prices in the regular session, except for those stipulated in each subparagraph of [§23(1)], shall be determined by continuous auction.

(2) In the case of determining the prices pursuant to paragraph (1), the market quotations shall be deemed to have been quoted at each of the following prices until the total quantity of quotation is executed: (Amended on February 5, 2025)

1. In the case of an offer market quotation, the lowest of the prices specified in the following items: (Amended on February 5, 2025)

(a) The most recent price (if the price does not match the quotation price unit, it shall be the nearest price lower than that price, which matches the quotation price unit) when there is no offer limit quotation. In case there are offer limit quotations, the price that is lower by one quotation price unit than the lowest price of offer limit quotations (within the lower limit price); and (Amended on February 5, 2025)

(b) The lowest price of bid limit quotations.

2. In the case of a bid market quotation, the highest of the prices specified in the following items: (Amended on February 5, 2025)

(a) The most recent price (if the price does not match the quotation price unit, it shall be the nearest price higher than that price, which matches the quotation price unit) when there is no bid limit quotations. In case there are bid limit quotations, the price that is higher by one quotation price unit than the highest price of bid limit quotations (within the upper limit price); and (Amended on February 5, 2025)

(b) The highest price of offer limit quotations.

(3) The prices under the provisions of paragraph (1) shall, when the highest bid price matches the lowest offer price among the competitive bids and offers, be the price of quotation received first, and trades between the matching bids and offers shall be executed according to the priority of quotations stipulated in [§22(2)].

[§25. Trading Halt, etc. in Stock Market, etc.](#)

(1) In the event that the value of KOSPI falls under each of the following subparagraphs, the Exchange may resume or conclude the trading of all issues in the stock market, etc. after halting the trading (referring to discontinuing the receipt of quotations other than cancellation quotations; the same hereinafter) as stipulated in each of the relevant subparagraphs. Provided that this provision shall not apply to the cases specified in the Enforcement Rules in consideration of the extent and direction, etc. of the fluctuation of KOSPI. (Amended on April 29, 2015; December 5, 2018)

1. Case of lasting for one (1) minute after declining by 8% or more from the closing index of the previous trading day: Resuming the trading after 20-minute halt;

2. Case of lasting for one (1) minute after declining by 15% or more from the closing

index of the previous trading day even after halting and resuming the trading pursuant to subparagraph 1: Resuming the trading after 20-minute halt; and

3. Case of lasting for one (1) minute after declining by 20% or more from the closing index of the previous trading day even after halting and resuming the trading pursuant to subparagraph 2: Concluding the trading of the day immediately after the trading halt.

(2) The halt, resumption and conclusion of trading pursuant to paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules. (Amended on April 29, 2015)

§26. Suspension of Trading of Individual Issues

(1) The Exchange may suspend the trading of an issue which falls under any of the following subparagraphs: (Amended on July 22, 2005; December 1, 2010; November 4, 2015; October 5, 2016)

1. [Deleted on November 4, 2015]

2. The issue for which timely trade execution is deemed impossible due to the excessive influx of orders;

2-2. [Deleted on July 22, 2020]

2-3. The issue that is designated as an investment precaution issue (hereinafter referred to as the “investment precaution issue”) pursuant to [§106-4(1)] and also falls under the criteria stipulated in the Enforcement Rules; and [Established on July 22, 2020]

3. Additionally, the issue for which trading halt is deemed necessary for the market management.

(2) [Deleted on December 1, 2010]

(3) In cases where the trading of stocks is suspended or halted pursuant to paragraph (1) and [§27] and [§107] (in the case of stocks listed on the KOSDAQ Market, it shall include the case of trading suspension or halt in the concerned Market), the Exchange may suspend the trading of subscription right certificates, subscription warrants, ELWs, single-stock ETF securities under [§113(2)4(c)(v)] of the Listing Regulations, and single-stock ETN securities under [§149-3(2)2(c)] of the same Regulations that make use of the concerned stocks as the underlying asset. (Amended on July 22, 2005; December 21, 2007; April 15, 2026)

(4) Matters necessary for the suspension and resumption of trading pursuant to paragraphs (1) through (3) shall be stipulated in the Enforcement Rules. (Amended on December 1, 2010)

§26-2. Change of Trade Execution Methods, etc. by Issue

(1) In cases where the provisional execution price determined by the quotations of stocks, DRs of foreign stocks, ETFs, ETNs and beneficiary certificates falls under any of the

following subparagraphs, the Exchange may change the trade execution method of the relevant issue to the call auction under [§23] or expand the quotation range participating in call auctions (hereinafter referred to as “change of trade execution method, etc.”). (Amended on April 29, 2015; July 10, 2019)

1. Case of rising or falling by more than the rates specified in the Enforcement Rules based on the most recent price as at the time of receipt of the relevant quotation during the trading hours of a regular session (excluding the time of deciding the opening price) and that of the off-hours sessions (limited to off-hours call auction); and

2. Case of rising or falling by more than the rates specified in the Enforcement Rules based on the most recent price as at the time of receipt of the relevant quotation (limited to the price determined by the method of the call auction under [§23], and referring to the base price of the day when determining the opening price) during the trading hours of a regular session.

(2) [Deleted on April 29, 2015]

(3) Necessary matters concerning the change of trade execution method referred to in paragraph (1) shall be determined by the Enforcement Rules.

[June 18, 2014]

[§27. Measures in the Case of Computer System Failure or Excessive Influx of Quotations](#)

The Exchange may, in the case of its computer system failure or when its computer system failure is expected to occur due to the excessive influx of quotations for specific issues, take necessary measures, including the suspension of quotation receiving, trading halt, etc., or choose different trade execution methods in accordance with the stipulations in the Enforcement Rules.

[§28. Correction of Transaction Errors](#)

(1) In cases where the Exchange made an error in the course of intermediating trades or a member made an error in the course of placing quotations, the details of such trades may be corrected.

(2) Matters necessary for the correction of transaction errors mentioned in paragraph (1) shall be stipulated in the Enforcement Rules.

[§28-2. Relief of Large-scale Transaction Errors](#)

(1) The Exchange may relieve large-scale transaction errors (referring to the transactions that meet the requirements stipulated in the Enforcement Rules, among those that are recognized to have the potential to cause difficulties in settlement and disorder in the market; the same

hereinafter) at the request of the concerned member, among the transactions that were executed differently from the original intent due to errors on the part of members or customers in relation with stocks, depository receipts of foreign stocks, collective investment securities of ETFs, exchange-traded notes, equity-linked warrants and beneficiary certificates that were traded by way of individual auction during the regular sessions. Provided that this provision shall not apply to the case of sudden change of market condition, and other cases that are deemed necessary for the market management.

(2) The methods of relieving large-scale transaction errors noted in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

Section 5. Special Cases concerning Trade Execution

§29. Single Member Auction

Notwithstanding [§23 and §24], the Exchange may, when only one (1) member competes for a trade, decide on a different method of trade execution.

§30. [Deleted on July 7, 2006]

§30-2. Regular Session Auction-based Block Trading

(1) Regular session auction-based block trade shall be executed between the auction-based block trade quotations for the issues (restricted to the stocks, DRs for foreign stocks, ETF collective investment securities and ETNs: the same hereinafter in this Article and [§31 and §32]), which are received during the quotation receiving hours for regular session auction-based block trade, at the price noted in each of the following subparagraphs: (Amended August 27, 2014)

1. Trading volume weighted average price calculated based on the trades of the concerned issue executed during the regular session from the execution of concerned auction-based block trade to the time of market closing. In such cases, the method of calculating the trading volume weighted average price shall be stipulated in the Enforcement Rules.

2. In cases where the trading volume weighted average price noted in paragraph (1) is not available, it shall be the closing price of the day. If there is no closing price of the day, it shall be the price stipulated in the Enforcement Rules.

(2) The priority of quotations participating in the regular session auction-based block trade shall be based on the quotation receipt time; that is, the quotation received earlier shall have priority over the quotations received later.

(3) The quantity requirement and trading unit of quotations participating in the regular session auction-based block trade and other matters necessary for regular session auction-based block trade shall be stipulated in the Enforcement Rules.

[July 21, 2010]

§31. Regular Session Block Trading

(1) When a member requests the Exchange to execute a trade between bid and offer quotations of a same issue, same quantity and same price during the regular session, a regular session block trading shall be carried out by way of executing the trade between such quotations. Provided that no such trade shall be executed if the relevant issue has not been traded during the regular session of the day prior to receiving such quotations for regular session block trading. (Amended on July 7, 2006; January 28, 2009; July 16, 2009; July 21, 2010)

(2) The bid and offer prices that can be quoted when requesting the execution of regular session block trading pursuant to paragraph (1) shall be the price between the highest and lowest prices of the issue in the regular session that were established prior to receiving the such quotations.

(3) The quantity requirement, trading quantity unit, and other necessary matters relating to the regular session block trading shall be stipulated in the Enforcement Rules.

§32. Regular Session Basket Trading

(1) When the members request the Exchange to execute a trade between the bid and offer quotations for respective issues comprising a basket, of which the quantities and prices of bid and offer quotations are the same, during the regular session, the regular session basket trading shall be carried out by way of executing the trade of issues comprising a basket en bloc.

(2) The bid and offer prices that can be quoted when requesting the execution of regular session basket trading pursuant to paragraph (1) shall be the prices between the highest and lowest price in the regular session that were formed prior to receiving such quotations.

(3) The issues comprising a basket, quantity requirement, and the trading unit and other matters necessary relating to the regular session basket trading shall be stipulated in the Enforcement Rules.

§33. Off-hours Trading

Off-hours sessions pursuant to [§4(2)] shall be divided into the sessions when each of the following trade is executed. Provided that the trade specified in subparagraph 2 shall be executed only in the after-hours session and the trade specified in subparagraph 2-2 shall be executed only during the pre-hour session. (Amended on July 21, 2010)

1. Off-hours closing price trade;

2. Off-hours period call auction;
- 2-2. Off-hour auction-based block trade;
3. Off-hours block trade; and
4. Off-hours basket trade.

(Wholly amended on May 13, 2005)

§34. Off-hours Closing Price Trading

(1) In the case of off-hours closing price trade, a trade shall be executed at the closing price of the day (the price of previous day, in case of the pre-hours session; the same hereinafter in this Article), upon receiving quotations during the quotation receiving hours for off-hours closing price trade. Provided that no such trade shall be executed if the relevant issue has not been traded during the regular session of the day. (Amended on May 13, 2005)

(2) Trading quantity unit, priority of quotations and other necessary matters relating to the off-hours closing price trade shall be stipulated in the Enforcement Rules.

§34-2. Off-hours Periodic Call Auction

(1) At an off-hours periodic call auction, trades shall be executed by the method of periodic call auction under [§23] after receiving quotations during the quotation-receiving hours for off-hours periodic call auction. Provided that in cases stipulated in the Enforcement Rules, such as when a trade has not been executed during the regular trading session of the day, no such trade shall be executed. (Amended on February 5, 2025)

(2) The range of quotations participating in the determination of price noted in paragraph (1) shall be stipulated in the Enforcement Rules.

(3) The prices that can be quoted for off-hours periodic call auction provided for in paragraph (1) shall be any of the followings: (Amended June 18, 2014; July 10, 2019)

1. The prices either 10% higher or 10% lower than the closing price of the day. In such cases, [§20] shall apply *mutatis mutandis* to the application of quotation price unit, etc.; and

2. The prices that are within the upper limit price and the lower limit price of the day.

(4) The trading quantity unit, quotation priority and other matters necessary for the off-hours periodic call auction shall be stipulated in the Enforcement Rules.

[May 13, 2005]

§34-3. Off-hours Auction-based Block Trading

(1) Off-hours auction-based block trade shall be executed by matching the quotations for auction-based block trade, which are received during the quotation receiving hours for pre-hours auction-based block trade, at the price noted in each of the following subparagraphs:

1. The trading volume weighted average price calculated based on the trades of the relevant issue executed during the regular session from the time of market opening to the time of market closing. In such cases, the method of calculating the trading volume weighted average price shall be stipulated in the Enforcement Rules.

2. In cases where no trading volume weighted average price noted in paragraph (1) is available, it shall be the closing price of the day. Provided that, if there is no closing price of the day is available, it shall be the price specified in the Enforcement Rules.

(2) The priority of quotations participating in off-hours auction-based block trade shall be determined according to the quotation receipt time; that is, the quotation received earlier shall have priority over the quotations received later.

(3) The quantity requirement and trading unit of quotation participating in the off-hour auction-based block trade and other matters necessary for off-hours auction-based block trade shall be stipulated in the Enforcement Rules.

[July 21, 2010]

§35. Off-hours Block Trading

(1) When a member requests the Exchange to execute a trade between the bid and offer quotations, of which the issue, quantity and price are the same, during the quotation receiving hours of the off-hours sessions, the off-hours block trading shall be accomplished by way of executing such trade. Provided that no such trade shall be executed if the relevant issue was not traded during the regular session of the day (previous day in case of the pre-hours session).

(2) The bid and offer prices that can be quoted when requesting the execution of off-hours block trade pursuant to paragraph (1) shall be the prices within the upper limit price and the lower limit price of the day. (Amended on July 10, 2019)

(3) The quantity requirement, trading quantity unit and other matters relating to the off-hours block trade shall be stipulated in the Enforcement Rules.

(4) In the case of a member (including the counter party member; the same hereinafter in this Article) who received an entrustment from a stock-listed corporation that intends to repurchase its treasury stocks from the government of Korea or the Korea Deposit Insurance Corporation by the method of off-hours block trading pursuant to the provisions of subparagraphs 1 and 2 of [§39(4)] or a stock-listed corporation that intends to repurchase its treasury stocks by the method of off-hours block trading after having obtained the approval from the FSC, the Exchange may execute such trade at the price quoted by the member,

notwithstanding the provisions of paragraph (2) and [§20]. (Amended on January 28, 2009)

(5) Notwithstanding the provisions of paragraph (2), a member, who submits a quotation after receiving an entrustment from a stock-listed corporation that intends to sell its treasury stocks by way of off-hours block trading pursuant to the provisions of [§39(4)3], shall place the quotation at the prices that are between 5% higher (the upper limit price shall be the limit) and 5% lower (the lower limit price shall be the limit) than the closing price of the day. In such cases, for the pre-hours session, the closing price of the previous day shall be used as the base, but if the application of closing price of the previous day is deemed inappropriate, it shall be based on the provisions stipulated in the Enforcement Rules. (Amended on September 8, 2006; July 10, 2019)

(6) The provisions of paragraph (5) shall apply *mutatis mutandis* to the case where the trust companies, etc. under [§80] intend to sell the treasury stocks under trust contract by way of off-hours block trading pursuant to [§41]. (Amended on January 28, 2009)

§36. Off-hours Basket Trading

(1) When a member requests the Exchange for the execution of a trade between bid and offer quotations for respective issues constituting a basket, of which the quantities and prices of bid and offer are the same, during the quotation receiving hours of the off-hours sessions, the off-hours basket trading shall be carried out by way of executing the trade of the issues constituting such basket en bloc.

(2) The bid and offer prices that can be quoted when requesting the execution of off-hours basket trade pursuant to the provisions of paragraph (1) shall be the prices within the upper limit price and the lower limit price of the day for each issue. (Amended on July 10, 2019)

(3) The number of issues comprising a basket, required quantity, and the trading unit and other necessary matters relating to the off-hours basket trading shall be stipulated in the Enforcement Rules.

§37. Method of Determining First Trading Price of Initially Listed Issues

(1) The first prices of initially listed issues and the issues specified in the Enforcement Rules on the date of commencement of trading shall be determined by the period call auction under [§23].

(2) The range of quotations to be included in determining the first trading price mentioned in paragraph (1) shall be stipulated in the Enforcement Rules.

§38. Method of Trade Execution for Issues Scheduled to Be Delisted

In the case of issues scheduled to be delisted, the methods of trade execution may be determined in a different way as stipulated in the Enforcement Rules.

§38-2. Trade Execution Methods, etc. of Temporary Overheated Issues, etc.

For the issue that falls under any of the following subparagraphs, the method of trade execution may differently be determined as stipulated in the Enforcement Rules. Provided that, for the issues falling under subparagraph 2, additional measures necessary for market management such as changing the price change limit, etc. may be taken as stipulated in the Enforcement Rules. (Amended on July 22, 2020)

1. An issue designated as a temporary overheated issue pursuant to [§106-2(1)];
- 1-2. An issue designated as an investment precaution issue; and
2. An issue with abnormally soaring prices noted in [§11(1)] of the Market Oversight Regulation, for which the Market Oversight Commission has requested for a change of trade execution method thereof pursuant to subparagraph 3 of [§12] of the same Regulation, and which is deemed necessary for the market management to take such measure.

(Wholly amended on February 8, 2017)

§38-3. Method of Trade Execution of Low-Liquidity Issues, etc.

(1) For an issue, the trade frequency of which is deemed to be significantly low according to the criteria set by the Enforcement Rules, from among the low-liquidity issues, the method of trade execution may be determined differently, as stipulated in the Enforcement Rules.

(2) For an issue whose number of listed stocks falls short of the criteria set by the Enforcement Rules among stocks listed on the stock market, the method of trade execution may be determined differently, as stipulated in the Enforcement Rules. [Established on July 22, 2020]

[November 4, 2015]

§39. Trading Methods of Treasury Stocks of Stock-listed Corporations

(1) Each member shall, when having received an entrustment to trade the treasury stocks from a stock-listed corporation under Article 165-3 of the Act, place a quotation at each of the following prices. Provided that no such quotation shall be placed during the last thirty (30) minutes before the market closing. (Amended on January 28, 2009; December 11, 2013; April 29, 2015)

1. In the case of placing quotations before the market opening

(a) In the case of bids:

The price that is between the previous day's closing price of the relevant issue and the

price that is 5/100 higher than such closing price (in case such price is incompatible with the quotation price unit, it shall be the price corresponding to the quotation price unit which is closest to such price in the direction of the closing price).

(b) In the case of offers:

The price that is between the previous day's closing price of the relevant issue and the price that is two (2) quotation price units lower than such closing price.

2. In the case of placing quotations during the trading hours

(a) In the case of bids:

The price that is between the upper limit, which is five (5) quotation units higher than the higher one of the last price and the best bid quotation of the relevant issue, and the lower limit, which is five (5) quotation units lower than the higher one of the last price and the best bid quotation of the relevant issue.

(b) In the case of offers:

The price that is between the upper limit, which is five (5) quotation units higher than the lower one of the last price and the best offer quotation of the relevant issue, and the lower limit, which is five (5) quotation units lower than the lower one of the last price and the best offer quotation of the relevant issue.

(2) During the regular session, a member may correct the quotation price stipulated in paragraph (1) with the price stipulated in paragraph (1)2. In such cases, the proviso to the main sentence of paragraph (1) shall apply *mutatis mutandis*.

(3) Matters necessary for the trading at the quotation prices noted in paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

(4) Notwithstanding paragraphs (1) through (3) above, in the event of falling under any of the following cases, the treasury stocks may be traded by means of off-hours block trading (except for the pre-hours session; the same hereinafter in this paragraph): (Amended on September 8, 2006; January 28, 2009)

1. Where an entrustment was received from a corporation that intends to buy-back its treasury stocks from the government, the Bank of Korea, the Korea Deposit Insurance Corporation, the Korea Development Bank, the Industrial Bank of Korea, the Export-Import Bank of Korea and any stock-listed corporation in which the government has made an equity investment of no less than 50/100 of capital stock;

2. Where an entrustment was received from a stock-listed corporation to which the government, for the purpose of implementing the government policies of promoting the fair competition and privatization of public corporations, has issued a permission, approval, authorization or a written instruction or recommendation, and has requested the FSC's approval, with regard to the corporation's repurchase of its treasury stocks, and the FSC has endorsed that the repurchase of treasury stocks by the relevant corporation does not

interfere with the consumer protection; and

3. Where an entrustment was received from a stock-listed corporation that intends to sell its treasury stocks by way of off-hours block trading.

§40. Special Cases concerning Trading Methods of Treasury Stocks of Stock-listed Corporations

(1) Notwithstanding [§39], the Exchange may, in cases of having obtained an approval from the FSC for the protection of investors and the maintenance of the market stability against sudden changes in the market conditions, etc., let its members to place quotations upon receiving an entrustment of bid order for treasury stocks from stock-listed corporations during the quotation receiving hours of the regular session. (Amended on January 28, 2009)

(2) In the case of placing quotations stipulated in paragraph (1), the quotation prices shall be any of the followings. In such cases, the proviso to the main sentence of [§39(1)] shall apply *mutatis mutandis*.

1. Case of placing a quotation before the market opening: The prices pursuant to [§39(1)1a].

2. Case of placing a quotation (including new quotations and corrections) during the regular session: The prices pursuant to [§39(1)2a].

(3) Matters necessary for the trade according to the quotations noted in paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

§41. Trading Methods of Treasury Stocks of Stock-listed Corporations under Trust Contract and Special Cases Thereof

The provisions of [§39] [excluding paragraphs (4)1&2] and [§40] shall apply *mutatis mutandis* to the cases where a member receives an entrustment of trade from a company engaged in trust business, etc., which falls under the trading of treasury stocks under money trust contract pursuant to [§80]. In such cases, the “stock-listed corporation” shall be construed as the “trust business companies” and “purchase (sale) of treasury stocks” shall be construed as “purchase (sale) of treasury stocks under money trust contract”. (Amended on January 28, 2009)

CHAPTER IV. TRADING OF DEBT SECURITIES

(Title changed on January 28, 2009)

Section 1. Common Provisions

§42. Applicability

This Chapter shall apply to the trading of debt securities. (Amended on January 28, 2009)

§43. Trading of Listed Debt Securities in the Market of the Exchange

Each member shall, when intending to trade any of the following listed debt securities, carry out such trade in the Bond Market: (Amended on January 28, 2009)

1. Convertible bonds; and
2. Bonds, which are sold to the public for administrative purposes pursuant to the relevant statutes, and are stipulated in the Enforcement Rules (hereinafter referred to as "License & Permit Bonds" or "LPBs").

§44. Designation and Operation of LPB Dealers

The Exchange may, for the purpose of facilitating the trading of LPBs, designate and operate the members who are obliged to place bid quotations (hereinafter referred to as "LPB dealers") and the matters necessary for the designation and operation of LPB dealers shall be stipulated in the Enforcement Rules.

Section 1-2. Management of Quotations and Price Change Limits

[January 28, 2009]

§44-2. Restrictions on Quotations for Short Sale

(1) No member shall either carry out the short sale prescribed in Article 180(1)1 of the Act or place a quotation upon being entrusted with such short sale. Provided that, in the case of falling under any of the following subparagraphs, it shall not be deemed as a short sale: (Amended March 4, 2009; July 16, 2009; August 27, 2014; November 4, 2015)

1. Case of selling the equity-linked bonds (including the beneficiary certificates under [§3(2)]; the same hereinafter in this Section), for which the bid quotations have been

executed, within the matching quantity before the settlement date; and

2. Case where the settlement by the settlement date is feasible and falls under any of the following items:

(a) Case of selling equity-linked bonds for which the fact on being deposited with the custody institutions other than the member that received the entrustment of the sell order or on being held by other methods has been confirmed;

(b) Case of selling equity-linked bonds that would be received following the termination of deposit agreement for Korean depository receipts;

(c) Case of selling equity-linked bonds on loan, of which the return has been confirmed;

(d) Case of selling equity-linked bonds that will be delivered following the trade in OTC market or other agreements; and

(e) Case where the member has made an agreement with a customer to purchase the equity-linked bonds after the market closing on the day the quotation is placed, and where it sell the relevant equity-linked bonds within the relevant quantity.

(2) In the case of conducting a covered short sale or placing a quotation upon receiving an entrustment of such covered short sale, the provisions of [§17(2)] shall apply *mutatis mutandis*. (Amended on February 8, 2017)

(3) When verifying the settlement possibility in accordance with paragraph (2), the member shall apply [§17(3)] *mutatis mutandis*.

(4) Notwithstanding paragraph (2), in cases where there is a concern about the obstructing the stability in the market and establishment of fair price, the Exchange may restrict covered short sale for all or a part of equity-linked bonds, after obtaining the approval of the FSC.

(5) If it is required for the market management, the Exchange may request the members to submit the information and materials relating to the short sale and covered short sale.

(6) The matters necessary for the case, where a member conducts the covered short sale or places the quotation after having informed the Exchange that the selling is a short sale upon receiving an entrustment of such order pursuant to paragraph (2), shall be stipulated in the Enforcement Rules.

[January 28, 2009]

§44-3. Restrictions on Prices of Quotations for Covered Short Sale

(1) The provisions of [§18(1)] shall apply *mutatis mutandis* to the case where a member conducts a covered short sale or places a quotation after receiving an entrustment of such short sale pursuant to [§44-2(2)].

(2) Notwithstanding paragraph (1), in the case of submitting a market making quotation for the beneficiary certificates noted in [§3(2)] pursuant to [§71-4], it may be quoted at a price lower than the most recent price. [March 4, 2009]

(3) The matters necessary with respect to restricting the prices of quotations for covered short sale pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

[January 28, 2009]

Section 2. Quotation and Trading Units

§45. Quotation Unit and Trading Unit

The quotation unit, the quotation price unit and trading unit for trading of debt securities shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

Section 3. Execution of Trades

§46. Principles for Trading of Debt Securities

(1) Debt securities shall be traded by way of an individual auction, and the individual auction shall be classified into the period call auction and the continuous auction. (Amended on January 28, 2009)

(2) Priority of quotations in individual auction shall be assigned according to each of the following guidelines:

1. The lower offer quotations shall have priority over higher offer quotations, and higher bid quotations shall have priority over lower bid quotations;
2. In the case of the same price quotations, those received earlier shall have priority over the quotations received later; and
3. The priority of simultaneous quotations shall be stipulated in the Enforcement Rules.

§47. Call Auction

(1) Any of the following prices shall be determined by call auction: (Amended on January 28, 2009; November 4, 2015)

1. Opening prices;
2. The first price after reopening the market pursuant to [§6(2)]; and

3. The first price after resuming trades pursuant to [§49(2)], [§153(2)] of the Listing Regulation and [§40(5)] of the KOSPI Market Disclosure Regulation. Provided that this provision shall not apply to the debt securities specified in the Enforcement Rules.

(2) The range of simultaneous quotations participating in the determination of the price mentioned in paragraph (1) shall be stipulated in the Enforcement Rules.

(3) The price mentioned in paragraph (1) shall be the matched price, at which the accumulative quantity of offer quotations matches with that of bid quotations in accordance with each of the following methods, and the trade shall be executed between the matched quotations according to the priority order stipulated in [§46(2)]:

1. The total quantity of offers with the price lower than the matched price and the total quantity of bids with the price higher than the matched price; and

2. With regard to bids and offers at the matched price, the quantity mentioned below:

(a) Total quantity of either bid or offer quotations at the matched price; and

(b) Among the quantities of quotations on the counter side, the quantity above the trading unit of the relevant issue.

(4) In cases where there are two (2) or more matched prices while determining the price mentioned in paragraph (3), the price shall be the arithmetic average of the highest and the lowest matched prices (in case such price falls short of the quotation price unit, such price shall be rounded up to the quotation price unit).

(5) In cases where there are two (2) matched prices at which the cumulative quantity of bids matches that of offers pursuant to paragraphs (3)1 & 2(a), notwithstanding paragraph (3)2(b), the trade shall be executed. In such cases, paragraph (4) shall apply *mutatis mutandis* to the determination of the price.

§48. Continuous Auction

(1) The prices during the trading hours of the regular session, except for the case stated in each subparagraph of [§47(1)], shall be determined by continuous auction.

(2) The price pursuant to paragraph (1) shall, when the highest bid quotation matches the lowest offer quotation according to the auctioning of bid and offer quotations, be the price of the preceding quotation, and the trade between the matching bid and offer according to the priority order pursuant to [§46(2)] shall be executed.

§49. Suspension of Trading of Individual Issues

(1) The Exchange may suspend the trading of issues that fall under any of the following subparagraphs: (Amended on July 22, 2020)

1. The issues of which trades are deemed impossible to be executed promptly due to the overflow of trades;
 2. The issues designated as an investment precaution bond pursuant to [§106-3]; and
 3. Other issues that are deemed necessary for the market administration.
- (2) Matters necessary for the suspension and resumption of trading, etc. pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

(Wholly amended on November 4, 2015)

§50. Measures in the Case of Computer System Failure or Quotation Overflow

The Exchange may, in the case of its computer system failure or when its computer system failure is expected to occur due to the overflow of quotations for a specific issue, take necessary measures such as suspension of quotation receiving, trading halt, etc. or otherwise determine a different method of trade execution in accordance with the stipulations in the Enforcement Rules.

§51. Correction of Transaction Errors

- (1) The Exchange may correct the transaction errors that have occurred in the course of intermediation of trading of debt securities, or while the members placing quotations.
(Amended on January 28, 2009)
- (2) Matters necessary for the correction of transaction errors stipulated in paragraph (1) shall be stipulated in the Enforcement Rules.

Section 4. Special Cases concerning Trade Execution

§52. Reporting of Self-account Transaction of LPBs by Members

Notwithstanding the provisions of [§43], when the sale price of LPBs is higher than the mark-to-the-market price or it is after the market has been closed, the member may trade such LPBs as a self-account transaction in OTC market in a manner stipulated in the Enforcement Rules, and in such cases, such fact shall be reported to the Exchange.

§53. Trading of LPBs at Market Closing

- (1) The trading of LPBs at the time of market closing shall be executed by way of call auction on the basis of reported market prices.
- (2) The reported market prices specified in paragraph (1) shall be the prices (the prices below

the quotation unit shall be rounded down) obtained by averaging the prices reported by all LPB dealers after the market closing on the previous day, while excluding the top 10% prices and the bottom 20% prices in descending order (numbers shall be rounded off to the first decimal place; the same hereinafter in this Article).

(3) The range of quotations participating in trading of LPBs at the time of market closing under paragraph (1) and other necessary matters thereof shall be stipulated in the Enforcement Rules.

§53-2. Negotiated Trade

(1) The Exchange may execute a trade (hereinafter referred to as the “negotiated trade”) at a price or repurchase rate which is determined by the negotiation between a party who requests for a quotation and the other party who places a quotation in response to the quotation request during the trading hours of the regular session.

(2) The negotiated trades are applied to the following trading:

1. Trading in the KRX KTB;
2. Trading of bonds repurchase agreement; and
3. Trading of debt securities stipulated in the Enforcement Rules other than those stated in paragraphs (1) and (2).

(3) The quotation quantity unit, the quotation price unit, the trading unit, the method and procedure of negotiation and other necessary matters relating to negotiated trades shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§54. Reported Trading of Debt Securities

(1) When a member requests the Exchange to execute a trade between bid and offer quotations of which the issue of debt security, price and quantity are the same, the Exchange may execute such trade at such price and quantity (hereinafter refer to as “reported trading of debt securities”). (Amended on January 28, 2009)

(2) Notwithstanding [§4] and [§9], matters necessary for the eligibility, trading hours, methods of trade execution, etc. of the reported trading of debt securities specified in paragraph (1) shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

Section 5. Trading in KRX KTB

§55. Definitions

The terms used in this section shall have the same meanings given to them in each of the following definitions: (Amended on January 28, 2009)

1. The term "government bond dealer" refers to a person who has obtained the permission to trade the government debt securities.
2. The term "treasury bonds primary dealer" (hereinafter referred to as "primary dealer") refers to, from among government bond dealers, those who have been designated by the Minister of the Strategy and Finance.
3. The term "trading in the KRX KTB" refers to the trading of the issues mentioned in each of the following items:
 - (a) From among the government debt securities, the issues that are designated as the benchmark issue of government debt securities by the Minister of Strategy and Finance (hereinafter referred to as "benchmark issues");
 - (b) From among the government debt securities that are issued through the bidding in accordance with laws and regulations related to government debt securities, the issues specified in the Enforcement Rules (hereinafter referred to as "non-benchmark issues"); and
 - (c) From among the monetary stabilization bonds issued by the Bank of Korea pursuant to the Bank of Korea Act (hereinafter referred to as "monetary stabilization bonds") and the bonds issued by the Korea Deposit Insurance pursuant to the Depositors Protection Act (hereinafter referred to as "deposit insurance fund bonds"), those issues specified in the Enforcement Rules.
4. The term "market-making quotation" refers to the quotations that are placed by the government bond dealers for the purpose of market-making for benchmark issue, and it shall be classified into each of following items:
 - (a) Both-sided market-making quotations: Bid and offer quotations that are simultaneously placed by primary dealers; and
 - (b) One-sided market-making quotations: Bid or offer quotation that is placed by the government bond dealers.
5. The term "market taking quotation" refers to a one-sided quotation that is placed by a government bond dealer for the purpose of executing a trade with a market-making quotation.

§56. Classification of Quotations

The quotations for trading in the KRX KTB shall be classified into each of the followings. Provided that, in the case of the non-benchmark issues, monetary stabilization bonds and

deposit insurance fund bonds, this classification shall not apply.

1. Market-making quotations; and
2. Market-taking quotations.

§57. Quotation Receiving Hours and Methods of Quotations

(1) The quotation receiving hours of the KRX KTB shall be set forth in the Enforcement Rules.

(2) Primary dealers shall continuously place both-sided market-making quotations during the trading hours of regular session. In such cases, the quotation spread shall be less than the range specified in the Enforcement Rules. (Amended on July 22, 2005; January 28, 2009)

(3) [Deleted on January 28, 2009]

(4) Any government bond dealer may place one-sided market-making quotations and market-taking quotations. (Amended on January 28, 2009)

(5) In cases where a member places a quotation upon receiving an entrustment from a customer, such quotation shall be placed by way of one-sided market-making quotation and market-taking quotation. (Amended on January 28, 2009)

(6) Other matters necessary for placing quotations, other than those mentioned in paragraphs (2) through (5), shall be stipulated in the Enforcement Rules.

§58. Suspension of Quotation Validity

(1) Any primary dealer who has submitted both-sided market-making quotations pursuant to [§57(2)] may, when it is deemed necessary, temporarily suspend the validity of such quotations. (Amended on January 28, 2009)

(2) The duration of quotation validity suspension pursuant to paragraph (1), reinstatement of the validity thereafter and other necessary matters shall be stipulated in the Enforcement Rules.

§59. Execution of Trades, etc.

(1) Notwithstanding [§46(1)], in the case of the trades in the KRX KTB, the price shall be determined by way of continuous auction.

(2) The trading unit of the KRX KTB shall be specified in the Enforcement Rules.

§59-2. When-Issued Trading

(1) The Exchange may conclude a trade of treasury bonds that, under the condition that the trade is effectuated by the actual issuance of the treasury bonds, is executed prior to the date of issuance and settled when the relevant treasury bonds are actually issued (hereinafter referred to as “when-issued trading” or “WIT”), pursuant to the “Regulations on the Issuance of Treasury Bonds and Operation of Primary Dealer System” of the Ministry of Strategy and Finance.

(2) The period for when-issued trading shall be from the day after the day of announcement of bidding plan to the date of bidding.

(3) Notwithstanding [§7(1) and (4)], the WIT shall be the trades that are settled on the first trading day (the second trading day for the cases that are specified in the Enforcement Rules.) after the date of bidding.

(4) In cases where the issuance of treasury bonds is cancelled due to an abrupt change in the economic situation, etc. or the size of issuance of the relevant treasury bonds is significantly small and consequently the normal settlement of the trades is deemed impossible, such trades shall be deemed to have not been concluded pursuant to the stipulation of the Enforcement Rules.

(5) Participants, eligible issues, quotation price units and other necessary matters on the WIT other than those specified in paragraphs (1) through (4) shall be stipulated in the Enforcement Rules.

[November 4, 2015]

Section 6. Trading of Bonds Repurchase Agreements

§60. Definitions

The terms used in this Section shall have the meaning given to them in each of the followings:

1. The term “trading of bonds repurchase agreement” (hereinafter in this Section referred to as “trading of Repo”) means the trading of bonds under the condition that they will be repurchased or resold at an agreed upon price on the repurchase date;
2. The term “repurchase date” means the date specified in the sales agreement, on which the seller of Repo (referred to as “the seller” hereinafter in this Section) makes the payment of repurchase price and the buyer of Repo (hereinafter in this Section referred to as “the buyer”) return the purchased bonds, thus terminating the sales agreement;
3. The term “repurchase rate” means the annual interest rate that, in accordance with the sales agreement, the seller agrees to pay to the buyer on the repurchase date;

4. The term “purchase price” means the amount that, in accordance with the sales agreement, the buyer pays to the seller for the purchased bonds;
5. The term “repurchase price” means the amount that, in accordance with the sales agreement, the seller pays to the buyer on the repurchase date; and
6. The term “bid for general collateral Repo” means the quotation placed for the purpose of purchasing bonds under the condition of repurchase, without specifying the bond issue.

§61. Eligible Bonds

The bonds eligible for Repo trade shall be the bonds noted in each of the following subparagraphs. Provided that, the bonds that mature during the period between the trading day and the repurchase date shall be excluded. (Amended on January 28, 2009; December 1, 2010; November 20, 2019)

1. Treasury bonds and municipal bonds;
2. Monetary stabilization bonds;
3. Deposit insurance fund bonds; and
4. The bonds specified in the Enforcement Rules, from among the following bonds, by taking into account their total face value of unredeemed portion and the credit rating:
 - (a) Corporate bonds; and
 - (b) Special bonds, excluding those noted in subparagraphs 2 and 3.

§62. Repo Terms and Repurchase Dates

(1) The Repo terms (referring to the period from the settlement date of purchase price to the repurchase date; the same hereinafter in this Section) shall be less than one (1) year (the temporary market closing days shall be disregarded for the purpose of calculating the Repo terms; the same hereinafter in this Section) and the types of Repo term and the repurchase date for each Repo term shall be stipulated in the Enforcement Rules.

(2) In the case of falling under [§70(1)2 through 7], the day when the relevant causes occurred shall be deemed the repurchase date. (Amended on December 1, 2010)

(3) When the repurchase date mentioned in paragraphs (1) and (2) falls on a temporary market closing day, it shall be deferred to the following trading day.

§63. Quotation Quantity Units, etc.

Quotation prices for Repo trading shall be quoted by repurchase rate, and the quotation receiving hour, quotation quantity unit, quotation price unit and trading quantity unit shall be stipulated in the Enforcement Rules.

§64. Execution of Trades

(1) Notwithstanding [§46(1)], Repo trading shall be executed at the price determined by continuous auction. In such cases, an offer quotation with higher repurchase rate shall have priority over the offer quotations with lower repurchase rate; a bid quotation with lower repurchase rate shall have priority over the bid quotations with higher repurchase rate; and the priority of the quotations with the same repurchase rate shall be determined according to the time priority where the one received earlier has priority over the ones received later.

(2) In the case of a bid for general collateral Repo, it shall be executed by matching it with any offer which satisfies the priority requirements specified in paragraph (1), while disregarding issue.

§65. Calculation of Purchase Prices and Repurchase Prices

(1) Purchase price of Repo shall be the amount calculated by the following formula (the amount less than KRW 1 shall be rounded down, but in case of Repo trade noted in the Enforcement Rules, the amount less than KRW 10 shall be rounded down; the same hereinafter in this Section.) (Amended on December 1, 2010)

Purchase price = (Total face value of purchased bonds × Market value/10,000) / (1 + Haircut)

(2) The market value mentioned in paragraph (1) shall be the price (hereinafter referred to as “the mark-to-market price”) calculated by the Exchange on the basis of the appraisal prices of the concerned purchased bonds, which is announced by the bond appraisal companies pursuant to Article 263(1) of the Act. (Amended on January 28, 2009)

(3) Repurchase price of Repo shall be the amount calculated by the following formula:

Repurchase price = Purchase price × (1 + Repurchase rate × Number of days in Repo term/365)

(4) Matters relating to the haircut noted in paragraph (1) and calculation of the market value and mark-to-market price noted in paragraph (2) shall be stipulated in the Enforcement Rules.

§65-2. Clearing and Settlement of Repo Trades

The return of income and daily settlement of Repo trades shall be conducted in accordance with [§16] and [§17] of the Securities Market Clearing and Settlement Business Regulations, and the exchange and substitution of purchased bonds shall be conducted in accordance with [§24] and [§25] of the same regulations.

[February 5, 2025]

§66. [Deleted on March 4, 2025]

§67. [Deleted on March 4, 2025]

§68. [Deleted on March 4, 2025]

§69. [Deleted on March 4, 2025]

§70. Termination of Repo Trade

(1) Repo trade, per each agreement, shall be terminated in the case of falling under any of the following cases: (Amended on January 28, 2009; December 1, 2010; February 5, 2025)

1. Upon arrival of the repurchase date;
2. In cases where the seller fails to exchange bonds pursuant to [§24] of the Securities Market Clearing and Settlement Business Regulations; (Amended on February 5, 2025)
3. In the case of early repayment of the principal and interest of the purchased bonds;
4. In cases where the purchased bonds is delisted;
5. In cases where either the seller or buyer fails to settle the Repo trade (including the payment of the repurchase price and the return of the purchased bonds pursuant to [§18(2)] of the Securities Market Clearing and Settlement Business Regulations, the return of additional margin pursuant to paragraph (3) of the same Article, and the payment of additional margin pursuant to [§17(3)] of the same regulations; the same hereinafter in this Section); (Amended on February 5, 2025)
6. In cases where any of the following sub-items has occurred to the seller or the buyer; (Amended on February 5, 2025)
 - (a) Cases where a default has occurred on the issued note or the transactions with a bank (referring to a bank stipulated in Article 2(1)2 of the Bank Act; the same hereinafter) have been suspended or prohibited; (Amended on February 5, 2025)
 - (b) Cases where all or a significant part of business activities are suspended or the business license is cancelled; and (Amended on February 5, 2025)
 - (c) Case where an application for bankruptcy, dissolution or commencement of rehabilitation proceedings is filed pursuant to legal provisions or where a de facto rehabilitation proceeding is initiated; (Amended on February 5, 2025)
7. In addition, the case specified in the Enforcement Rules because it is deemed necessary to terminate the Repo trade.

(2) Matters necessary for the termination of Repo trade other than those in paragraph 1 shall

be governed by [§18)] of the Securities Market Clearing and Settlement Business Regulations. (Amended on February 5, 2025)

(3) The seller and the buyer shall return to the Exchange the additional margins received pursuant to [§67(4)] before the settlement deadline on the repurchase date, and the Exchange shall pay the concerned additional margins received to the seller and the buyer, respectively, after the settlement deadline of the day.

(4) In cases where the seller or the buyer is unable to settle the Repo trade in accordance to paragraphs (2) and (3), the Exchange shall handle the case in the manner stipulated in the following subparagraphs:

1. Where the seller fails to settle the trade, the Exchange shall substitute the settlement with a payment to the buyer of the repurchase price and amount equivalent to the additional margin, which the seller is required to pay and returned, after the settlement deadline; and

2. Where the buyer fails to settle the trade, the Exchange shall substitute the settlement with a delivery to the seller of the purchased bonds and the amount equivalent to the additional margin, which the buyer is required to return, after the settlement deadline.

(5) Notwithstanding paragraph (4), when the Repo trade is terminated pursuant to subparagraphs 5 and 6 of paragraph (1), all trades with the seller or the buyer falling under such cases (hereinafter in this Section referred to as “settlement defaulting party”) shall be terminated.

(6) In the case of terminating a trade pursuant to paragraph (5), the Exchange shall deem all trades with a same counterparty as a single agreement, and shall substitute the settlement with a single payment to the counter party of settlement defaulting party of the amount equivalent to the total repurchase price, the purchased bonds and the additional margins, which must be paid and returned by the settlement defaulting party, after the settlement deadline on the repurchase date.

(7) In cases where the Exchange is unable to make the payment on the day pursuant to paragraph (6), the payment shall be made on the following trading day.

(8) Matters relating to the termination of Repo trades pursuant to paragraph (1)⁷ and return of the additional margin pursuant to paragraph (3) shall be stipulated in the Enforcement Rules. (Amended on December 1, 2010)

[§71. Submission of the Agreement for Participation in Repo Trading, etc.](#)

(1) A member intending to trade Repo shall submit to the Exchange the Agreement for Participation in Repo Trading (hereinafter referred to as “participation agreement”). (Amended on January 28, 2009)

(2) Matters relating to the participation agreement mentioned in paragraph (1) shall be stipulated in the Enforcement Rules.

Section 7. Bond Market Making Member

§71-2. Definitions

The definitions of terms used in this Section shall have the meaning given in each of the following subparagraphs: (Amended January 28, 2009; July 16, 2009; December 29, 2009; February 19, 2014; February 11, 2015)

1. The term “bond market making members” means the members designated by the Exchange for market making of debt securities.
2. The term “market making quotation” means the quotations that are placed for the purpose of market-making for debt securities and be classified into the following items:
 - (a) Both-sided market making quotation: Quotation submission of both bid and offer at the same time; and
 - (b) One-sided market making quotation: Quotation submission of either bid or offer.
3. The term “market taking quotation” means the quotations other than the market-making quotation referred to in subparagraph 2.

[May 11, 2007]

§71-3. Application for Bond Market Making Membership and Designation of Bond Market Making Members

- (1) Any member who wishes to become a bond market making member shall submit an application to the Exchange.
- (2) The Exchange shall designate bond market making members for respective trading type noted in each of the following subparagraphs:
 1. Trading in the KRX KTB;
 2. Trading of bond repurchase agreements;
 3. Trading of LPBs; and
 4. Trading of bonds other than specified in subparagraphs 1 through 3.
- (3) The matters necessary relating to the application for bond market making membership and the designation of bond market making members pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

[February 11, 2015]

§71-4. Submission of Market Making Quotation

(1) The market making quotations that can be placed by a bond market making member for respective type of debt securities trading shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009; December 29, 2009; February 19, 2014; February 11, 2015)

(2) A bond market making member may submit market making quotations for debt securities during the trading hours of regular session. In such cases, the quotation spread shall be within the range stipulated in the Enforcement Rules.

(3) Necessary matters concerning market making quotation other than matters specified in paragraphs (1) and (2) shall be determined by the Enforcement Rules.

(Wholly amended on February 11, 2015)

§71-5. Evaluation of Bond Market Making Members and Payment to Such Members

(1) The Exchange may make payment, which is within the range of trading fee revenue for debt securities, to a bond market making member.

(2) The Exchange, when intending to make payment pursuant to paragraph (1), shall evaluate market making performance of a bond market making member for debt securities according to the stipulation of the Enforcement Rules.

(3) The evaluation, payment criteria and methods pursuant to paragraphs (1) and (2), and other necessary matters shall be stipulated in the Enforcement Rules.

[February 11, 2015]

§71-6. [Deleted on February 11, 2015]

CHAPTER V. [Deleted on March 4, 2025]

Section 1. [Deleted on March 4, 2025]

§72. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

Section 2. [Deleted on March 4, 2025]

§72-2. [Deleted on March 4, 2025]

[December 28, 2016]

§72-3. [Deleted on March 4, 2025]

[December 28, 2016]

§72-4. [Deleted on March 4, 2025]

[December 28, 2016]

§72-5. [Deleted on March 4, 2025]

[December 28, 2016]

§72-6. [Deleted on March 4, 2025]

[December 28, 2016]

§72-7. [Deleted on March 4, 2025]

[December 28, 2016]

§72-8. [Deleted on March 4, 2025]

[July 10, 2019]

§72-9. [Deleted on March 4, 2025]

[July 10, 2019]

Section 3. [Deleted on March 4, 2025]

§73. [Deleted on March 4, 2025]

[January 28, 2009]

§73-2. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§74. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§74-2. [Deleted on March 4, 2025]

[December 28, 2011]

§75. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§75-2. [Deleted on March 4, 2025]

[January 28, 2009]

§75-3. [Deleted on March 4, 2025]

[January 28, 2009]

§75-4. [Deleted on March 4, 2025]

[January 28, 2009]

§75-5. [Deleted on March 4, 2025]

[January 28, 2009]

§75-6. [Deleted on March 4, 2025]

[January 28, 2009]

§75-7. [Deleted on March 4, 2025]

[December 28, 2011]

§75-8. [Deleted on March 4, 2025]

[December 28, 2011]

§75-9. [Deleted on March 4, 2025]

[December 28, 2011]

§75-10. [Deleted on March 4, 2025]

[December 28, 2011]

§75-11. [Deleted on March 4, 2025]

[January 28, 2009]

§75-12. [Deleted on March 4, 2025]

[January 28, 2009]

§75-13. [Deleted on March 4, 2025]

[January 28, 2009]

§76. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§76-2. [Deleted on March 4, 2025]

[January 28, 2009]

§76-3.[Deleted on December 28, 2011]

CHAPTER VI. RECEIVING TRADE ENTRUSTMENT

Section 1. Methods and Conditions of Receiving Trade Entrustment

§77. Opening of Accounts

(1) When intending to receive a trade entrustment from a customer and process it, each member shall open a trading account for the relevant customer in advance. Provided that these provisions shall not apply to the case where for the trading of LPBs, such member opens a joint account for LPBs (hereinafter referred to as the "LPB account") and executes the trades thereof. Matters necessary for opening LPB accounts shall be stipulated in the Enforcement Rules.

(2) When intending to open a trading account mentioned in paragraph (1), each member shall enter into an agreement for opening a trading account with a customer, which stipulates each of the following details:

1. Details stating that a trading account is opened by the member and customer for the purpose of trading in the Market established by the Exchange; and
2. Details stating that the relevant customer endorses the standard contract relating to the receipt of entrustment of trade in the Market (hereinafter referred to as the "standard contract").

(3) Each member shall, when opening a trading account with a customer, confirm the matters stipulated in the Enforcement Rules with the customer, and keep the records thereof. (Amended on July 7, 2006)

§77-2. Publication and Explanation of Order Placing Method, etc.

(1) Members shall spell out the matters concerning the order entrustment and processing methods and the conditions and fees of use thereafter (hereinafter referred to as the "order placing method, etc."). In such cases, no member shall restrict the usage condition without justifiable reasons or levy the differential fees between customers.

(2) In the case of establishing new order placing method, etc. or amending the existing ones, each member shall publicly announce such fact in advance.

(3) When entering into an agreement for opening a trading account with a customer, the member shall explain the order placing method, etc. noted in paragraph (1) to the customer and assist the customer to choose an appropriate order placing method.

(4) The details of order placing method, etc. and the matters necessary for the publication thereof shall be stipulated in the Enforcement Rules.

[July 6, 2011]

§78. Matters to be stated in Standard Contracts

(1) Each member shall establish a standard contract that states the matters under each of the following subparagraphs: (Amended on May 13, 2005; January 28, 2009; July 6, 2011; November 4, 2015; December 7, 2022)

1. Matters stating that, when trading in the Market, the member and customer shall comply with the relevant laws, decrees, regulations governing businesses of the Exchange and other measures of the Exchange;
2. Matters relating to the priorities in submitting the quotations for the entrustment of orders received prior to the opening of quotation receiving hours;
3. Matters relating to the members' refusal to receive an entrustment of order or any restriction that the member may impose on order entrustment;
4. Matters relating to the collection of good faith deposit;
- 4-2. Matters related to the payment of basic deposit pursuant to [§87-2];
5. Matters relating to the prohibition of discretionary trading by the member;
6. Matters relating to the measures to be taken in the case of non-fulfillment of settlement obligation;
7. Matters relating to the collection of brokerage commissions;
- 7-2. Matters relating to the relief of large-scale transaction errors;
8. Matters in the following items if a customer is a person who are required to register as a high-speed algorithmic trader pursuant to [§104-3]; and
 - (a) Matters related to registration obligation; and
 - (b) Matters specified by the Enforcement Rules to manage high-speed algorithmic trading including rejection of order receipt, etc.
9. In addition, other matters, which do not contradict the relevant laws and regulations, that the member deems necessary.

(2) Each member shall, when entering into an agreement for opening a trading account with its customer, explain the material terms and conditions of the standard contract to the customer and deliver a copy of the relevant standard contract to the customer, if requested.

(3) When a member establishes or amends its standard contract, the member shall notify the Exchange of such fact within the period set forth in the Enforcement Rules. Provided that this provision shall not apply to the case where the member uses the standard contract form that

was established by the Korea Financial Investment Association pursuant to Article 56(3) of the Act. (Amended on December 28, 2016)

§79. Opening of Accounts for Trading of Treasury Stocks of Stock-listed Corporations, etc.

(1) When intending to process a trade of treasury stocks upon being entrusted by a stock-listed corporation pursuant to Article 165-3 of the Act, each member shall open a separate account for treasury stock trading together with the relevant stock-listed corporation (hereinafter referred to as "treasury stock trading account") in advance. (Amended on January 28, 2009; December 11, 2013)

(2) The treasury stocks trading account pursuant to paragraph (1) shall not be used for accepting the trade entrustment other than the treasury stocks.

(3) The methods of receiving the entrustment of orders for the trading of treasury stocks and other necessary matters shall be stipulated in the Enforcement Rules.

§80. Opening of Accounts for Trading of Treasury Stocks of Stock-listed Corporations under Trust Contract, etc.

(1) When a member intends to place quotations upon receiving an entrustment of order that falls under the trading of treasury stocks from a trust company that purchases the treasury stocks of a stock-listed corporation in accordance with the money trust contracts under Article 165-3(1)2 of the Act (hereinafter referred to as "trust company"), such member shall open a separate account for each fund of trust assets with the trust companies in advance (hereinafter referred to as "treasury stocks trading account of trust company"). (Amended on January 28, 2009; December 11, 2013)

(2) The treasury stocks trading account of trust company noted in paragraph (1) shall not be used for receiving the entrustment of orders for the issues other than the treasury stocks of a stock-listed corporation which has entered into a money trust contract with the trust companies, etc. (Amended on January 28, 2009)

(3) In applying paragraph (2), when a member intends to place quotations upon receiving an entrustment of order for non-treasury stocks, which are in the treasury stock trading account of trust company as a result of such incidence as the split-up of the relevant stock-listed corporation, such trade shall be handled using another account other than the treasury stock trading account of trust company.

(4) The methods of receiving an entrustment and other matters necessary for using the treasury stock trading account of trust company shall be stipulated in the Enforcement Rules.

§81. Details of Entrustment

Each member shall, when receiving an entrustment of order from its customers, verify the

details specified in the Enforcement Rules.

§82. Methods of Receiving Trade Entrustment

(1) Each member may receive trade entrustments from customers using the method noted in any of the following subparagraphs: (Amended on July 6, 2011)

1. Orders placed in writing;
2. Orders placed via telephone, telegram, facsimile, electronic mailing system and other similar method (hereinafter referred to as “by the telephone, etc.”); and
3. Orders placed using a computer or similar electronic communication means (hereinafter referred to as "via electronic communication means.")

(2) In the case of receiving an order placed via electronic communication means, each member shall ensure that the order is routed through the security device specified in the Guidelines for Connection to Member System under [§84-2(1)]. Provided that this provision shall not apply to the case specified in the Enforcement Rules, as it is deemed that there is no concern about damaging the transaction safety in the course of receiving and processing the order. [July 6, 2011] (Amended on December 7, 2022)

(3) When a trade is executed with a customer’s order, the member shall notify the relevant customer of the details of the trade without delay. Provided that the trade details can be notified collectively after the market close of the day if the customer has agreed in advance. (Amended on February 8, 2017)

(4) The matters necessary with respect to the entrustment methods noted in each subparagraph of paragraph (1) and the notification noted in paragraph (3) shall be stipulated in the Enforcement Rules. [July 6, 2011] (Amended on February 8, 2017)

§83. Obligation to act in Good Faith When receiving Entrustment of Orders

(1) Each member shall, when receiving an entrustment of orders from customers, make its best efforts in protecting the investors and executing its responsibilities with due care and diligence, which is required of a good manager. In cases where there exists any indication or incidents of suspicious trading, such as drastic changes in stock price, trading volume, etc., and it is deemed necessary for the investor protection, the members shall notify its customers of the investment risks and take other necessary actions in accordance with the stipulations in the Enforcement Rules.

(2) In relation to the order entrustment of customers, the members shall not perform any conduct that hinders the rational investment decisions of customers, including the investment advices that have not taken into consideration the investment purposes, sizes of transaction and experiences of customers and the supply of unsubstantiated investment information.

§84. Rejection of Order Entrustment, etc.

(1) In cases where the orders fall under any of the following subparagraphs, the members shall refuse to accept the entrustment of such orders. In such cases, such member shall record the reasons for refusal on the order slip or the document containing the order details, and notify the relevant customer of such fact: (Amended on January 28, 2009; June 8, 2016)

1. Where the member has realized that the order received is in violation of or may violate the provisions of Articles 172, 174, 176, 178 and 178-2 of the Act; and

2. In addition to the cases mentioned in subparagraph 1, where it is deemed necessary for the investor protection and public interests or for the maintenance of market order.

(2) Members shall refuse to accept the entrustment of orders for short sales that violate the provisions of [§17], [§18], [§44-2] and [§44-3]. (Amended on January 28, 2009)

(3) Members may refuse to accept the entrustment of new orders from or may impose restrictions on the withdrawal of cash or securities by a customer who owes accrued receivable according to the manner stipulated in the standard contract. (Amended on May 13, 2005; January 28, 2009)

(4) A member shall refuse to receive customer's orders for high-speed algorithmic trading in any or the following cases with regard to the submission of customer's orders for high-speed algorithmic trading: [December 7, 2022]

1. In the case of receiving orders for high-speed algorithmic trading from a customer who has not registered pursuant to [§104-3] or whose registration has been cancelled; and

2. In the case of falling under any of the subparagraphs of [§104-3(5)].

(5) Members shall refuse to accept orders, which are in violation of [§87-2], for ELWs, collective investment securities of ETFs or ETNs. (Amended on July 22, 2020) [July 6, 2011]

§85. Prohibition of Use of Order Information, etc.

(1) When receiving an entrustment of orders from customers, no member shall execute the trades through the accounts, in which it has an interest directly or indirectly, prior to the execution of relevant entrusted orders.

(2) No member shall execute the trades with the assets of customers without receiving an entrustment of trade.

§86. Restrictions on Serving as Agent

The officers or employees of a member who enters into an agreement for opening a trading account with a customer shall be prohibited from serving as an agent for the relevant

customer.

Section 2. Good Faith Deposit

§87. Good Faith Deposit

(1) Members may, when receiving entrustments of orders from its customers, collect the good faith deposit in cash or substitute securities for buying and in cash, securities to be sold or substitute securities for selling. (Amended on December 28, 2016)

(2) Members shall establish the rates and collection methods of the good faith deposit stipulated in paragraph (1) (including the collection rates of substitute securities; hereinafter referred to as the “guidelines for collection of good faith deposit”). (Amended on December 28, 2016)

(3) When a member has established the guidelines for collection of good faith deposit pursuant to paragraph (2), the member shall notify the fact thereof to the Exchange within the period stipulated in the Enforcement Rules. This provision shall also apply when the guidelines were amended.

(4) Notwithstanding the provisions of paragraphs (1) through (3), in cases where it is found necessary for the market management due to the occurrence of natural disaster, warfare, upheaval, sudden and significant change in the economic conditions or other incidents similar thereto, or where the settlement cannot be concluded normally, the Exchange may determine the minimum collection rate of good faith deposit for a fixed period of time for each issue or for each bid or offer.

(5) When collecting the good faith deposits pursuant to paragraph (1), members shall manage the good faith deposits separately from their own assets, and shall not use the good faith deposits as member margins. [December 28, 2016]

§87-2. Basic Deposits

(1) When accepting an entrustment of orders specified in the following subparagraphs, the member shall collect cash or substitute securities of at least the amount stipulated in the Enforcement Rules (hereinafter referred to as the “basic deposit”) in advance. (Amended on December 28, 2016; July 22, 2020)

1. ELW trades of a retail customer who has no balance of ELWs held (referring to the holder of an account opened with the relevant member, and in the case of accepting an order entrustment arranged by an investment broker, it shall include the holder of an account opened with that investment broker; hereinafter the same shall apply in this paragraph); and

2. Buy orders of a retail customer for collective investment securities of ETFs or ETNs that are linked to the multiple exceeding one time of the changes of the price of target

underlying asset or index (including negative multiple).

(2) After the balance of ELWs held has been eliminated as a result of selling, it shall be regarded that the balance of ELWs pursuant to paragraph (1)1 remains until the settlement deadline pursuant to [§96] and after the balance of ELWs has been eliminated as a result of arrival of last trading day, it shall be regarded that the balance of ELWs under paragraph (1)1 remains until the payment deadline of settlement amount subsequent to the right exercise after the exercise deadline of the relevant ELWs.

(3) [Deleted on July 22, 2020]

[July 6, 2011]

§88. Types, etc. of Substitute Securities

(1) [Deleted on December 28, 2016]

(2) The substitute securities shall be the securities falling under any one of the following subparagraphs: (Amended on July 20, 2007; January 28, 2009; July 16, 2009; March 7, 2012; April 18, 2012; February 22, 2013; August 27, 2014; April 29, 2015; December 28, 2016; July 22, 2020)

1. Stock market-listed stocks and listed DRs of foreign stocks. Provided that the issues falling under any of the following items shall be excluded.

(a) Administrative issues;

(b) Issues scheduled to be delisted;

(c) Issues, the trading of which has been suspended pursuant to [§153(1)2, 3 and 16] of the Listing Regulation; and

(d) Additionally, the investment alert issue and investment risk issue stipulated in [§5-3] of the Market Oversight Regulation (hereinafter referred to as the “investment alert issue” and the “investment risk issue”, respectively).

2. Collective investment securities of ETFs and ETNs. Provided that the issues falling under any of the following items shall be excluded;

(a) Issues, the trading of which has been suspended pursuant to [§153(1)2] of the Listing Regulation;

(b) The investment precaution issue; and

(c) Other issues specified in the Enforcement Rules.

3. Listed debt securities. Provided that the issues falling under any of the followings shall be excluded; and

(a) Issues scheduled to be delisted, and

(b) Other issues specified in the Enforcement Rules.

4. Other issues specified in the Enforcement Rules.

(3) The timing and methods of calculating the substitute prices and appraisal ratios of the substitute securities specified in paragraph (2) and other necessary matters relating to the substitute securities shall be governed by [§34] of the Securities Market Clearing and Settlement Business Regulations. (Amended on February 5, 2025)

§89. Special Cases concerning Collection of Good Faith Deposits

(1) Notwithstanding [§87(1) & (2)], the members shall, when receiving orders from a customer who has failed to pay or deliver the purchase amount or the sold securities by the settlement deadline (including the customer who did not pay the purchase amount, etc. in the KOSDAQ Market and the customer who has been registered with a centralized credit information collection agency under Article 25(2)1 of the Credit Information Use and Protection Act (hereinafter referred to as “centralized credit information collection agency”) because of the failure to pay the purchase amount to other members; the same hereinafter in this Article), collect the full entrustment amount (only in cash) in case of bid order and the entire entrusted securities in case of ask order as the good faith deposit for the period specified in each of the following subparagraphs: (Amended on April 27, 2007; January 28, 2009; September 11, 2013; June 8, 2016; December 5, 2018)

1. In the case of a customer who failed to make payment of the purchase amount by the settlement date, thirty (30) days from the trading day following the settlement date (in the case of the customer who failed to make payment to other members, it shall be the day the customer is registered with a centralized credit information collection agency); and

2. In the case of a customer who failed to deliver the sold securities, one hundred and twenty (120) days from the trading day following the settlement date (for a customer who did not deliver the sold securities to other member, the day the customer is registered with a centralized credit information collection agency).

(2) The provisions of paragraph (1) shall not apply to the cases falling under any of the following subparagraphs. In such cases, the member shall keep the records of relevant facts. (Amended January 28, 2009; April 21, 2010; December 11, 2013)

1. Where the purchase amount (in cases where there is the interest, tax, etc. that was withdrawn after the entrustment of bid order, which is not directly related to the concerned trade, it may be the amount that excludes such interest, tax, etc.) that the customer failed to pay by the settlement date is less than KRW 100,000;

(a) [Deleted on April 21, 2010]

(b) [Deleted on April 21, 2010]

(c) [Deleted on April 21, 2010]

2. Where a customer has failed to pay the purchase amount or deliver the sold securities by the settlement date due to the natural disaster, emergence situation, computer failure, error made by the member or other cause (excluding the cases stipulated in the Enforcement Rules) that the member acknowledges that the customer has not committed an intentional or wrongdoing.

(3) Notwithstanding paragraph (1), in a case falling under any of the following subparagraphs, members may not collect the good faith deposit: (Amended on January 28, 2009; August 28, 2019)

1. Where an ask order placed by a customer, who has cleared up the unsettled amount, has been executed, and an entrustment of bid order is received from the relevant customer with the quantity less than the relevant sold amount;

2. Case of receiving an entrustment of ask order for a security, for which the bid order has been executed or the member can confirm about electronic registration in the customer account under Article 22(2) of the Act on Electronic Registration of Stocks and Bonds (hereinafter referred to as “the Electronic Securities Act”) by the settlement deadline, within the quantity less than the relevant purchased quantity; and (Amended on February 5, 2025)

3. Case of receiving an entrustment of order from a customer who intend to settle the trade by obtaining the loan or securities loan from the member.

(4) Notwithstanding [§87(1)&(2)], members shall, when receiving an entrustment of ask order from a customer falling under any of the following subparagraphs, collect the total amount of the relevant entrustment securities as a good faith deposit. In such cases, subparagraphs 2 and 3 of paragraph (3) shall apply *mutatis mutandis* to the customer under subparagraph 1, and in case of customer under subparagraph 3, it shall be limited to the period notified from the trading day after the day of receiving the notification. (Amended on December 28, 2011; September 19, 2012)

1. Customer intending to sell an issue with less than 50,000 of total listed shares;

2. Customer intending to sell an issue to the Exchange pursuant to [§75-10]; and

3. In the case where the Exchange purchases stocks, etc. in accordance with [§22] of the Securities Market Clearing and Settlement Business Regulations, the customer who intends to sell the relevant stocks to the Exchange. (Amended on February 5, 2025)

(5) In cases where, notwithstanding [§87(1)&(2)], a member receives an order to purchase the investment alert issue, investment risk issue, investment precaution issue or securities noted in [§87-2(1)2], such member shall collect the full entrustment amount (in cash only) as good faith deposit. Provided that, when receiving an entrustment of bid order with amount less than the concerned selling amount (in cases where there is an amount the customer owes to the member, it shall be the amount after deducting the amount owed) after an offer quotation has been executed, the member may not collect the good faith deposit. [July 20,

2007] (Amended on March 7, 2012; April 29, 2015; July 22, 2020)

(Wholly amended on January 19, 2007)

§90. Refund of Good Faith Deposit, etc.

The good faith deposit collected by a member shall neither be refunded nor be appropriated as the good faith deposit to be collected for a new order until the relevant trade is settled. (Amended on July 22, 2005)

Section 3. Processing of Orders

§91. Method of Processing of Customer Orders

A member shall, when receiving an entrustment of orders from customers, process the orders in accordance with the methods stipulated in the Enforcement Rules.

§92. Correction of Transaction Errors

In cases where an error has occurred in the process of receiving orders, inputting them into the member computer system or transmitting the quotations to the Exchange computer system, the member shall immediately correct the error. In such cases, such member may buy or sell the relevant securities. (Amended on January 28, 2009)

§93. Maintenance of Records of Error Corrected

When correcting the errors in the details of orders and trading, the member shall record the details of error corrected and the causes of error in the correction record book and maintain it.

§94. Maintenance of Records of Trading Details, etc.

(1) Members shall record and maintain, in the account book, the details of matters concerning trades such as the payment of good faith deposit, the purchase amount and the amount of income, deposit and delivery of sold securities, etc.

(2) In cases where the quotation information has been inputted pursuant to the proviso to [§9(1)], the member shall record and maintain the details of order, trade execution, distribution, etc. [July 20, 2007]

§95. Sales Agent for LPBs, etc.

(1) Members may handle the tasks related to the submission of ask orders, payment of sales

amount, delivery of sales statement and other tasks relating to the trading of LPBs, by entering into an agency contract with a sales agent (hereinafter referred to as “sales agent contract”), which sells the public bonds on the side in accordance with the laws and subordinate statutes (hereinafter referred to as “sales agent”).

(2) The matters to be specified in the sales agent contract pursuant to paragraph (1) and other matters relating to the sales agent contract and procedures for processing such orders shall be stipulated in the Enforcement Rules.

Section 4. Settlement between Members and Customers

§96. Settlement between Members and Customers

(1) In cases where a member and its customer reciprocally assume each other’s obligations for the same issue on the same day or assume the reciprocal payment obligations, the settlement shall be accomplished by netting the obligations for same issues or payments. Provided that, in the case of trades subject to netting noted in [§9(1)2] of the Securities Market Clearing and Settlement Business Regulations, the settlement shall be accomplished by netting the amounts and securities per same issue. (Amended on December 28, 2011)

(2) Notwithstanding paragraph (1), in cases where there is a different agreement between the member and customer, such agreement may be respected. [December 28, 2011]

(3) The settlement hour between the member and its customer shall be the hour on the settlement date that the member determines (hereinafter referred to as “the settlement deadline”). In such cases, if the member changes the settlement deadline, such member shall notify the Exchange of the change before putting it into practice.

(4) Members shall settle a trade by receiving the relevant sold securities or the purchasing money by the settlement deadline specified in paragraph (3). In such cases, the relevant member may, when the good faith deposit for the relevant trade is available, appropriate it as the sold securities or purchasing money. (Amended on January 28, 2009; December 28, 2011)

(5) In the case of registered bonds under the Government Bond Act, a registration notice may be substituted as the sold securities stipulated in paragraph (4); in such cases, the documents necessary for the change of registration, which are prescribed in the Government Bond Act shall be attached thereto. (Amended on December 28, 2011; August 28, 2019)

(6) In cases where the sold securities mentioned in paragraph (4) are new stock certificates, these may be substituted with the old stock certificates. (Amended on December 28, 2011)

(7) When sold securities are delivered by a customer who is a professional investor under Article 9(5) of the Act (hereinafter referred to as “institutional customer”) or purchased securities are delivered to such institutional customer, members shall settle the trade by way of electronic registration of transfer between accounts under Article 25(4) of the Enforcement Decree of the Electronic Securities Act. (Amended on January 28, 2009; December 28, 2011;

August 28, 2019)

§97. Delivery of Registered Subscription Certificates, etc.

When a member receives the registered subscription certificates, beneficiary certificates, or debt securities from their customers, they shall be divided into the trading unit specified by the Exchange and accompanied by the documents necessary for the title transfer. (Amended on January 28, 2009)

§98. Handling in Case of Deferred Settlement and Delivery of Securities Delivery Bills

Members may, when deferred settlement amount or securities delivery bills have been delivered in place of the purchased securities because the settlement between the Exchange and member has been delayed pursuant to [§19] of the Securities Market Clearing and Settlement Business Regulations, postpone the transfer of relevant purchased securities upon obtaining the consent of its customer. (Amended on February 5, 2025)

(Wholly amended on December 28, 2011)

§99. Measures to Be Taken in Case of Settlement Failure by Customers

(1) Members shall, when a customer fails to deliver the purchasing money or sold securities by the settlement hour, settle the relevant trade with its own cash or securities with the same particulars. In cases where there is any unsettled balance after such settlement, the member may supplement the shortage at its discretion by disposing the relevant purchased securities or sales amount, or the cash and securities of relevant customer in member's possession, in accordance with the manner stipulated in the standard contract. (Amended on May 13, 2005; January 28, 2009)

(2) In cases where a customer has failed to deliver the sold securities such as stocks, etc. by the settlement deadline, the member may collect the amount equivalent to the deferred settlement amount. [December 28, 2011]

(3) Members may, when any customer accumulates overdue balance, including the failure to deliver the purchasing money or sold securities, collect the interest on the arrears (in cases where in relation to the relevant overdue balance, the member pays the loss caused by settlement delay to the Exchange, it shall include the amount equivalent to that loss amount) for the overdue period. (Amended on December 28, 2011)

Section 5. Brokerage Commission

§100. Collection of Brokerage Commission

(1) Members may, when a trade is executed upon receiving an entrustment of order to sell or buy from a customer, collect a brokerage commission from the relevant customer at the time of trade settlement in accordance with the manner determined by the member.

(2) In cases where a member establishes the rates and collection methods of brokerage commission (hereinafter referred to as “the guidelines for collection of brokerage commission”) noted in paragraph (1) or amend them thereafter, the member shall notify it to the Exchange within the period stipulated in the Enforcement Rules.

(3) Members shall publicly announce the guidelines for collection of brokerage commission under paragraph (2) so that the customers can be aware of them in advance.

CHAPTER VII. MARKET MANAGEMENT

§101. Publication of Market Prices, etc.

- (4) Pursuant to Article 364(2) of the Enforcement Decree of the Act, the Exchange shall make public the market price, etc., which falls under each of the following subparagraphs: (January 28, 2009)
4. Current price, opening price, highest price, lowest price, and closing price;
 4. Trading volume and trading value;
 4. Closing prices of the previous day or base prices;
 4. Ex-dividend, ex-rights, ex-distribution or ex-interest; and
 5. Additionally, the quotation information and other data that are stipulated in the Enforcement Rules, including the expected matching price and the expected best bid and offer prices during the quotation receiving hours for the call auction, and the expected best bid and offer prices during the quotation receiving hours for the continuous auction.
- (2) The Exchange may make public the information that is useful for making investment decisions for the protection of investors.
- (3) The method of making public the market price and information useful for making investment decision pursuant to paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§102. Management of Market Data and Information

Pursuant to Article 364(2) of the Enforcement Decree of the Act, the Exchange shall efficiently manage the market data and information which is generated in relation to or derived from the trading data in the Market using its computer systems, etc., and provide such data and information via the electronic communication facilities, etc. to its members and other parties who wish to use them after entering into an agreement for use of market data and information. (Amended on January 28, 2009)

§103. Matters to be notified to Members

Matters relating to the market management that the Exchange should notify to its members and other matters relating to the notification to members shall be stipulated in the Enforcement Rules.

§104. Matters to be reported by Members, etc.

- (4) When the Exchange requests a member to submit materials that are deemed necessary for market management, the relevant member shall comply with the request without delay.
- (2) Each member shall make certain that its computer system conforms to the related statutes, this Regulation or the measures taken pursuant to this Regulation.
- (3) Each member shall report to the Exchange the information about its computer system related to the input details of quotations as stipulated in the Enforcement Rules.

(Wholly amended on July 10, 2019)

§104-2. Management of Algorithmic Trades

- (1) A member shall identify and manage the risks that may arise in conducting algorithmic trading.
- (2) When the accounts that perform algorithmic trades are opened, changed or closed, members shall report such fact to the Exchange without delay.
- (3) In cases where an emergency situation occurs due to system failures, errors, or other causes related to the algorithmic trading, a member may request the Exchange for the measures falling under each of the following subparagraphs (hereinafter referred to as the “quotation processing by account”) for each algorithmic trading account [referring to the account of which opening and changes were reported pursuant to paragraph (2); the same hereinafter]. Provided that this shall not apply to cases, such as block trades, etc., of which quotation processing by account are deemed to be inappropriate by the Enforcement Rules.
 1. To cancel the quotations altogether at once; and
 2. Not to receive additional quotations.
- (4) The method of reporting of algorithmic trading accounts under paragraph (2), the method of requesting for the quotation processing by account under paragraph (3) and the release therefrom, and other necessary matters shall be stipulated in the Enforcement Rules.

[December 7, 2022]

§104-3. Registration of Algorithmic Traders, etc.

- (1) Before receiving orders for high-speed algorithmic trading from a customer, a member shall register the relevant customer as a high-speed algorithmic trader in the Exchange as stipulated by the Enforcement Rules. In this case, the member shall confirm whether the customer meets all of the following requirements before applying for the registration:
 1. The computer system including the ordering system, etc. used by the customer shall

- have stability and appropriateness suitable for conducting high-speed algorithmic trading;
2. The customer shall have sufficient knowledge and experience necessary for conducting high-speed algorithmic trading; and
 3. In addition, the customer shall meet the requirements specified by the Enforcement Rules as deemed necessary by the Exchange to manage high-speed algorithmic trading.
- (2) A member who intends to engage in high-speed algorithmic trading shall report to the Exchange as a high-speed algorithmic trader in advance.
- (3) In the case of opening, changing, or closing of a customer's or a member's own account that carries out the high-speed algorithmic trading (hereinafter referred to as the "high-speed algorithmic trading account"), the member shall report the relevant details to the Exchange without delay.
- (4) A member shall submit quotations for high-speed algorithmic trading only through a high-speed algorithmic trading account reported pursuant to paragraph (3).
- (5) In the case where a member's customer falls under any of following subparagraphs, the member shall take measures (hereinafter referred to as the "high-speed algorithmic trading order suspension"), such as refusing to receive orders for high-speed trading submitted by the customer, closing entire high-speed algorithmic trading accounts opened for the relevant customer, etc. In such case, the relevant fact and reason shall be notified to the Exchange without delay:
1. In the case where a member recognizes that the customer fails to meet the requirements of each subparagraph of paragraph (1);
 2. In the case where a member discovers that a customer has falsely written or intentionally omitted important matters when registering through the member; or
 3. Other cases where the Enforcement Rules stipulates that it is necessary to suspend receiving orders for high-speed algorithmic trading.
- (6) In the case where the Exchange deems inappropriate for a member's customer who is a high-speed algorithmic trader to conduct high-speed algorithmic trading for public interest, investor protection, the stability of trading order, etc., it may cancel the registration of the relevant customer. In such case, the member shall not apply for registration under paragraph (1) within six (6) months from the date of cancellation of the registration.
- (7) Registration or reporting of high-speed algorithmic traders, methods and procedures for the cancellation of registration, and other necessary matters shall be specified in the Enforcement Rules.

[December 7, 2022]

[§104-4. Member's Obligation to Manage Algorithmic Trading, etc.](#)

- (1) A member shall conduct inspection of a customer's electronic systems including ordering system and risk management, etc. as stipulated in the Enforcement Rules for the management of high-speed algorithmic trading of the customer

- (2) The Exchange may request members to submit the relevant information for the purpose of checking whether the members' obligation in paragraph (1) is satisfied and managing the market.

[December 7, 2022]

§105. Action Dates of Ex-dividends, etc.

The dates of action for ex-dividends, ex-rights, ex-distributions, and ex-interests related to the trading of listed securities shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

§106. Continual Monitoring of Market Conditions, etc.

The Exchange shall continuously monitor and analyze the market conditions, etc. to ensure the timeliness and appropriateness of the market measures taken pursuant to this Regulation. (Wholly amended on July 20, 2007)

§106-2. Designation and Release from Designation as Temporary Overheated Issue

- (4) The Exchange may designate an issue (limited to the stocks and DRs of foreign stocks) falling under any of the following subparagraphs as a temporary overheated issue. Provided that this provision shall not apply to the case of issue that has already been designated as a temporary overheated issue. (Amended on November 4, 2015; July 22, 2020)
4. An issue for which the rate of price increase, turnover ratio, price volatility, etc. fall under the standards specified in the Enforcement Rules, and
 4. An issue whose price difference between the different classes of stocks and the concerned common stock falls under the standard specified in the Enforcement Rules.
- (4) The matters necessary for the designation as temporary overheated issue, forewarning on the designation, release from such designation, etc. noted in paragraph (1) shall be stipulated in the Enforcement Rules.

[October 17, 2012]

§106-3. Designation and Release from Designation as Investment Precaution Bond Issue

- (4) In cases where a bond issue falls under the requirements specified in the Enforcement Rules and it is deemed necessary to call investors' attention in that regard, the Exchange may designate the concerned bond as an investment precaution bond issue. (Amended on November 4, 2015)

- (4) The matters necessary for forewarning on, designation as and release from designation as an investment precaution bond issue, etc. noted in paragraph (1) shall be stipulated in the Enforcement Rules.

[October, 5, 2016]

§106-4. Designation and Release from Designation as Investment Precaution Issue

- (4) The Exchange may designate collective investment securities of ETFs or ETNs that fall under the criteria stipulated in the Enforcement Rules as investment precaution issues in cases where it deems that investors' attention is necessary.
- (4) The matters necessary for forewarning on designation as an investment precaution issue, designation and release from the designation, etc. pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

[July 22, 2020]

§107. Trading Suspension of Investment Risk Issues, etc.

- (4) [Deleted on April 29, 2015]
- (4) The Exchange may take the measures necessary for market management such as trading suspension and change of trade execution methods, etc. as stipulated in the Enforcement Rules against the issue that the Market Oversight Commission has requested for trading suspension thereof pursuant to [§5-3(3)] of the Market Oversight Regulation and when such measures are deemed necessary for market management. [October 17, 2012] (Amended on November 4, 2015; February 8, 2017)
- (4) [Deleted on November 4, 2015]
- (4) When it is deemed necessary for the investor protection and market management, in such cases where a clearing member fails or is likely to fail to deliver the sold securities by the settlement deadline, the Exchange may suspend the trading of the relevant issue. In such cases, trading of such issue shall be resumed without delay, when the grounds for the trading suspension have been resolved.

§108. Deposits Prior to Placing Quotations

When it is deemed necessary for the market management, the Exchange may individually specify the issues, members or type of accounts (referring to the customer account or self-account), and have its members make deposits of whole or a part of the securities concerned when selling, and whole or a part of the purchasing money when buying before placing a quotation. In such cases, no member shall place bid or offer quotations for such issues unless the concerned deposit requirement has been satisfied.

§109. Payment before Settlement

When it is deemed necessary for the market management, the Exchange may individually specify the issues, members or type of accounts (referring to the customer account or self-account) and have its members to prepay whole or a part of the purchasing money or the selling securities, by the specific time before the settlement deadline.

CHAPTER VIII. SUPPLEMENTARY PROVISIONS

§110. Notification of Trade Details

- (1) When a trade has been executed, the Exchange shall notify members of the details of the trade specified in the Enforcement Rules, without delay.
- (2) The Exchange shall notify designated clearing members of details of the trades executed under the names of non-clearing members, as stipulated in the Enforcement Rules. In such cases, a Repo trading participant under [§41(2)3] of the Membership Regulation shall be deemed as a non-clearing member. (Amended on January 28, 2009; November 20, 2019)
- (3) The notification methods of trade details under paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

§111. Maintenance Period of Records Relating to Trade

The Exchange shall maintain the information relating to trade for the period specified in each of the following subparagraphs:

1. Quotation information inputted pursuant to [§11]: For ten (10) years;
2. Documents related to the correction of transaction errors pursuant to [§28 and §51]: For ten (10) years; and
3. Details of trading pursuant to [§110]: For ten (10) years.

§112. Auction of Securities

- (1) Any person who wishes to entrust auctioning of securities (referring to the cases where the Exchange receives an entrustment from the person who wishes to sell the securities, and sell them to the person who wishes to buy: the same hereinafter) shall file a request with the Exchange. (Amended on January 28, 2009)
- (2) An auction shall be accomplished by inviting bids. Provided that, when the Exchange deems it necessary, it may be carried out by way of holding a floor auction session. (Amended on August 28, 2019)
- (3) Bidding shall be deemed valid even if there is only one bidder,
- (4) In the case of bidding, the successful bidders, among the bidders whose bidding price is higher than the expected price, shall be all bidders with the bidding prices at which the entire quantity of entrusted securities is sold by successively lowering bidding price, starting with the highest bidding price. In the case of floor auction session, the successful bidder shall be the auction subscriber with the highest bidding price, among the bidders whose bidding price

is higher than the expected price.

(5) In addition to paragraphs (1) through (4), the matters relating to the request for auction, auction subscription, receiving auction entrustment, method of determining auctioneer, auction agreement and auction procedures and any other matters necessary for auctioning shall be stipulated in the Enforcement Rules.

[§112-2. Public Opinion Gathering](#)

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties should be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

[§113. Enforcement Rules](#)

Matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

ADDENDA
(January 21, 2005)

§1. Effective Date

This Regulation shall become effective on the day of incorporation of the Exchange. Provided that the provisions of [§17], [§18], [§31], [§32], [§35] and [§36] shall become effective on March 28, 2005.

§2. Abolition of Previous Regulations and Transitional Measures Thereafter

From the effective date of this Regulation, the Business Regulation and Regulation of Auction Market of the Korea Stock Exchange shall be abolished. Provided that the Business Regulation of the Korea Stock Exchange shall apply to the short sale, off-hours block trading and off-hours basket trading until the day before the effective date specified in the provision to [§1] of this Addenda (dated January 21, 2005).

§3. Transitional Measures for Trading, etc.

The trade execution, trade suspension and trade settlement carried out pursuant to the Business Regulation of the Korea Stock Exchange shall be deemed to be those carried out pursuant to this Regulation.

§4. Transitional Measures for Opening Trading Accounts, etc.

The opening of trading account, etc., notification of the guidelines for collection of good fiat deposit, etc., designation of LPB dealers, designation of substitute securities and calculation of substitute price, etc. that were carried out pursuant to the Business Regulation of the Korea Stock Exchange shall be deemed to be those accomplished pursuant to this Regulation.

§5. Transitional Measures for Agreement for Use of Market Data

The agreement for use of market data that was entered into pursuant to the Business Regulation of the Korea Stock Exchange shall be deemed to be those entered pursuant to this Regulation.

§6. Transitional Measures for Surveillance Issues

The surveillance issues that were designated pursuant to the Business Regulation of the Korea Stock Exchange shall be deemed as the abnormally rising issues designated pursuant to this Regulation.

ADDENDA
(May 13, 2005)

§1. Effective Date

This Regulation shall become effective on May 30, 2005

§2. Amendment to Other Regulation

The provisions of the Disclosure Regulation shall be amended as follows:

“16:00” in the proviso to [§51] shall be amended to “18:00.”

ADDENDUM

(July 22, 2005)

This Regulation shall become effective on October 31, 2005. Provided that the amended provisions of [§17, §89 and §90] shall become effective on the date specified in the Enforcement Rules.

ADDENDUM

(November 25, 2005)

This Regulation shall become effective on January 2, 2006.

ADDENDUM

(July 7, 2006)

This Regulation shall become effective on July 10, 2006. Provided that the amended provisions of [§16, §30 and §31] shall become effective on August 28, 2006.

ADDENDA

(September 8, 2006)

§1. Effective Date

This Enforcement Rules shall become effective on October 30, 2006.

§2. Transitional Measures concerning Methods of Trading Treasury Stocks of Stock-listed Corporations

This Regulation shall also apply to the cases where a member receives and places quotations for the entrustment for trading of treasury stocks from a stock-listed corporation that has submitted the report on disposal of treasury stocks before the effective date of this Regulation.

ADDENDA

(January 19, 2007)

§1. Effective Date

This Regulation shall become effective on May 1, 2007.

§2. Application of Provisions concerning Collection of Good Faith Deposit

The amended provisions of [§89] shall apply starting with the entrustments received from the customers who have an unsettled amount as of the effective date of this Regulation.

ADDENDUM (April 27, 2007)

This Regulation shall become effective on May 1, 2007.

ADDENDUM (May 11, 2007)

This Regulation shall become effective on the date stipulated in the Enforcement Rules, while taking into consideration the time required to develop the computer program, etc.

ADDENDUM (July 6, 2007)

This Regulation shall become effective on September 17, 2007.

ADDENDUM (July 20, 2007)

This Regulation shall become effective on September 3, 2007. Provided that the amended provisions of [§9 and §94] shall become effective on September 17, 2007.

ADDENDUM (December 21, 2007)

This Regulation shall become effective on January 2, 2008. Provided that the amended provisions of [§18(2)2 and §26(3)] shall become effective on the date stipulated in the Enforcement Rules.

ADDENDUM (September 30, 2008)

This Regulation shall become effective on October 1, 2008.

ADDENDA

(January 28, 2009)

§1. Effective Date

This Regulation shall become effective on February 4, 2009. Provided that the amended provisions of [§18(2), (4), (7) & (8)] and Chapter V (except for [§75-4 and §75-9]) shall become effective on the date stipulated in the Enforcement Rules and the amended provisions of [§75-4 and §75-9] shall become effective on May 4, 2009.

§2. Applicable Examples concerning Restrictions on Covered Short Sale

The amended provisions of [§17(4)] shall apply starting with the covered short sale conducted after the termination of restriction on covered short sale imposed pursuant to [§17(4)2] of the former Regulation at the time of putting this Regulation in force.

§3. Transitional Measures for Special Cases concerning Trading Methods of Treasury Stocks of Stock-listed Corporations

The special cases of having obtained an approval from the Chairman of the FSC pursuant to [§40] of the former Regulation at the time of putting this Regulation in force shall be deemed as the cases of having obtained the approval from the Chairman of the FSC pursuant to [§40] of this Regulation.

§4. Transitional Measures for Status of LPB Dealer, Government Bond Dealer, Primary Dealer, Retail Dealer and Retail Primary Dealer

Those dealers who have obtained the status as LPB dealer, government bond dealer, primary dealer, retail dealer or retail primary dealer at the time of putting this Regulation into force shall be deemed that they have obtained their status pursuant to this Regulation.

§5. Transitional Measures for Bonds Eligible for Repo Trade

The bonds eligible for Repo trade listed pursuant to [§61/4a] of the former Regulation shall deem to be the bonds eligible for Repo trade pursuant to [§61] of this Regulation at the time of putting this Regulation into effect.

ADDENDUM

(March 4, 2009)

This Enforcement Rules shall become effective on March 16, 2009.

ADDENDUM

(April 15, 2009)

This Enforcement Rules shall become effective on April 20, 2009.

ADDENDUM

(July 16, 2009)

This Enforcement Rules shall become effective on July 17, 2009.

ADDENDUM

(December 29, 2009)

This Enforcement Rules shall become effective on December 31, 2009. Provided that the amended provisions of [§71-2; §71-4 and §71-6] shall be put into effect on January 4, 2010 and the amended provisions of [§2(9)] shall be put into effect on January 18, 2010.

ADDENDUM

(April 21, 2010)

This Enforcement Rules shall become effective on April 26, 2010. Provided that the amended provisions of [§20] shall become effective on May 10, 2010 and the amended provisions of [§75-2; §75-4, §75-6, §75-9 and §89] shall be put into effect on July 5, 2010.

ADDENDUM

(July 21, 2010)

This Enforcement Rules shall become effective on November 29, 2010.

ADDENDA

(December 1, 2010)

§1. Effective Date

This Regulation shall become effective on January 1, 2011. Provided that the amended provisions of [§61, §62, §65 and §70] shall be put into effect on February 14, 2011 and the amended provisions of [§4] shall be put into effect on May 30, 2011.

§2. Exception to Early Redemption

The amended provisions of [§70] shall also apply to Repo trade that has not yet terminated at the time this Regulation is put into effect (February 14, 2010).

ADDENDUM

(January 26, 2011)

This Regulation shall become effective on May 30, 2011.

ADDENDUM

(March 2, 2011)

This Regulation shall become effective on May 30, 2011.

ADDENDA

(July 6, 2011)

1. Effective Date

This Regulation shall become effective on October 4, 2011. Provided that the amended provisions of [§75-6] shall be put into effect on July 25, 2011; the amended provisions of [§87-2(1)] shall be put into effect on August 1, 2011, only In cases where a new account for trading ELW is opened; and the amended provisions of [§8-2, §11-2, §77-2, §82 and §104-2] shall be put into effect on the date specified in the Enforcement Rules by taking into consideration the time required to update the member systems.

§2. Special Cases concerning Withdrawal Restrictions

The amended provisions of [§87-2(3)] shall apply after the market closing for ELW trade on the trading day immediately before the effective date noted in [§1] of this Addenda (July 6, 2011).

ADDENDUM

(November 4, 2011)

This Regulation shall become effective on November 21, 2011.

ADDENDA

(December 28, 2011)

§1. Effective Date

This Regulation shall become effective on January 16, 2012. Provided that the amended provisions of [§74] (limited to the provisions concerning the clearing and settlement of transaction in the KRX KTB), the proviso to [§75(2)1c], [§75(2)2b], the proviso to [§75-2(2)], [§75-6(1)1] (limited to the provisions concerned with the clearing and settlement of transactions in the KRX KTB), [§75-6(2)2], [§75-7] and the proviso to [§96(1)] shall be put into effect on the day stipulated in the Enforcement Rules.

§2. Exceptions to Finalization of Settlement Securities and Settlement Payment for Transaction in the KRX KTB

With regard to the determination of settlement securities and settlement amount of the transaction conducted in the KRX KTB on the day before the effective date noted in the proviso to [§1] of this Addenda, the latter part of [§74(2) & (3)] shall apply thereto.

ADDENDUM
(March 7, 2012)

This Regulation shall become effective on March 12, 2012.

ADDENDUM
(April 18, 2012)

This Regulation shall become effective on April 23, 2012. Provided that the amended provisions of [§88(1)1c] shall be put into effect on July 23, 2012.

ADDENDUM
(September 19, 2012)

This Regulation shall become effective on October 30, 2012.

ADDENDUM
(October 17, 2012)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM
(Listing Regulation)
(February 22, 2013)

This Regulation shall become effective on the date stipulated in the Enforcement Rules.

ADDENDUM
(December 11, 2013)

This Regulation shall become effective on January 2, 2014.

ADDENDA
(February 19, 2014)

§1. Effective Date

This Regulation shall become effective on the date set by the Enforcement Rules in

consideration of the time required to develop the computer programs, etc.

§2. Provisional Measure for the Bond Market Making Members

The bond retail dealer designated by the previous Regulation shall be deemed to be a bond market making members designated this Regulation.

ADDENDUM (June 18, 2014)

This Regulation shall become effective on June 30, 2014. Provided that the amended provisions such as [§4(3)1 and 2b], [§23(1)5], [§26-2(2)] and [§34-2(3)1] shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM (August 27, 2014)

This Regulation shall become effective on September 15, 2014.

ADDENDUM (November 26, 2014)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM (February 11, 2015)

This Regulation shall become effective on February 26, 2015. Provided that the amended provisions of [§20-2(2)] shall become effective on January 1, 2016, but for the members who have reported to the Governor of the Financial Supervisory Service on the early adoption of net capital ratios, on February 26, 2015, and the amended provisions of [§71-2 through §71-5] shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM (April 29, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(November 4, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(June 8, 2016)

This Regulation shall become effective on June 30, 2016. Provided that the amended provisions of [§4(3)], [§75-2(1)] and [§75-6(1) & (2)] shall be put into effect on August 1, 2016.

ADDENDUM

(October 5, 2016)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(December 28, 2016)

This Regulation shall become effective on January 2, 2017. Provided that the amended provisions of [§15], [§72-2] through [§74], [§76] and [§87] through [§88] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(February 8, 2017)

This Regulation shall become effective on February 9, 2017. Provided that the amended provisions of [§16] shall become effective on March 27, 2017, and those of [§17], [§18-2], [§38-2] and [§107] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(January 31, 2018)

This Regulation shall become effective on February 1, 2018.

ADDENDUM

(December 5, 2018)

This Regulation shall become effective on the date set by the Enforcement Rules by taking

into account the time required to develop the computer programs, etc.

ADDENDUM

(Regulation No. 1657 / April 3, 2019)

This Regulation shall become effective on April 29, 2019.

ADDENDUM

(Regulation No. 1697 / July 10, 2019)

This Regulation shall become effective on July 15, 2019. Provided that the amended provisions of [§72-3], [§72-8], [§72-9], [§76] and [§104] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM

(Regulation No. 1725 / August 28, 2019)

This Regulation shall become effective on September 16, 2019.

ADDENDUM

(Regulation No. 1748 / November 20, 2019)

This Regulation shall become effective on December 2, 2019.

ADDENDUM

(Regulation No. 1817 / April 29, 2020)

This Regulation shall become effective on May 8, 2020.

ADDENDA

(Regulation No. 1850 / July 22, 2020)

§1. Effective Date

This Regulation shall become effective on September 7, 2020. Provided that the amended provisions of [§20-2] shall become effective on October 5, 2020, and those of [§84(5)] and [§87-2(1)2] (limited to the orders from accounts opened by retail customers for the purpose of trading securities pursuant to [§87-2(1)2]) shall become effective on January 4, 2021, and those of [§38-3] and [§104-2] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

§2. Applicable Cases for Requirements of ETN Liquidity Providing Members

The amended provision of [§20-2(2)2-2(b)] shall become effective beginning with the liquidity providing members' assessment results of the month in which the effective date of the amended regulation specified in the provision to [§1] of this Addenda falls.

§3. Provisional Measure for the Assessment Results of Liquidity Providing Members

Notwithstanding the amended provisions of [§20-2] - regarding whether the liquidity providing member requirements based on the assessment results of the liquidity providing member are met - the prior Regulation shall apply to assessment results of the quarter in which the effective date of this Regulation falls.

§4. Provisional Measure for Suspension of Trading

As of the effective date of this Regulation, suspended trading pursuant to [§26(1)2-2] of the prior Regulation, shall be deemed suspended pursuant to [§49(1)2] of this Regulation.

ADDENDUM

(Regulation No. 1924 / March 8, 2021)

This Regulation shall become effective on March 15, 2021. Provided that the amended provision of [§17(6)2] shall become effective on April 6, 2021 and that of [§20-5] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDA

(Regulation No. 2082 / December 7, 2022)

§1. Effective Date

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs. etc.

§2. Preparation for Registration of High-speed Algorithmic Traders and Exception Therefrom

(1) The Exchange may process applications related to registration or reporting of high-speed algorithmic traders from one (1) month prior to the effective date of these regulations.

(2) Notwithstanding the provisions of [§84(4)] and [§104(3)] in relation to the high-speed trading, a member or its customers may conduct high-speed algorithmic trading without registering or reporting high-speed algorithmic trading until three (3) months after the enforcement of these regulations.

ADDENDA

(Regulation No. 2144 / July 19, 2023)

This Regulation shall become effective on July 24, 2023.

ADDENDA
(Securities Market Clearing and Settlement Business Regulations)
(Regulation No. 2287 / February 5, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Revision of Other Regulation

(1) The KOSPI Market Business Regulations is partially revised as follows:

Articles 66 through 69 shall be deleted.
Chapter 5 ([§72 through 76-2]) shall be deleted.

(2) [Omitted]

(3) [Omitted]

ADDENDA
(Regulation No. 2285 / February 5, 2025)

This Regulation shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs. etc.

ADDENDA
(Regulation No. 2405 / January 28, 2026)

This Regulation shall become effective on January 28, 2026.

ADDENDA
(KOSPI Market Listing Regulations)
(Regulation No. 2433 / April 15, 2026)

§1. Effective Date

This Regulation shall become effective on the date of promulgation of the Draft Partial Amendment to the Enforcement Decree of the Financial Investment Services and Capital Markets Act”, which was previously announced for legislation (Public Notice No. 2026-53).

§2. Amendments of Other Regulation

(1) Part of the KOSPI Market Business Regulations shall be partially revised as follows:

In [§26(3)], “of subscription warrants and subscription right certificates” shall be replaced with “ of subscription warrants, subscription right certificates, single-stock ETF securities under [§113(2)4(c)(v)] of the Listing Regulations, and single-stock ETN securities under [§149-3(2)2(c) of the same Regulations”.

(2) [Omitted]